Kohat Cement and Competitors
Financial Ratio Analysis

Explanation and findings for FY2021 to FY2025

Introduction to Business Finance
Instructor Dr Noureen Ayaz

Abdullah Khan Sherwani 27880

Immaduddin Durrani 29204

Raahin Tajuddin 29207

Zuhair Merchant 29021

Arba 32571

KOHC with LUCK, DGKC, MLCF and FCCL

This report explains the submitted financial model, its accounting choices and the evidence behind the five-year comparisons. Amounts are PKR million unless stated otherwise. Ratios use full-precision Excel inputs; printed figures are rounded.

Contents

1 Introduction and project methodology 3
2 Financial data and accounting decisions 4
2.1 Standalone and consolidated reporting 4
2.2 Extracting and standardizing the audited inputs 4
2.3 Period matching and balance conventions 5
2.4 Earnings debt taxation and enterprise value 6
2.5 PSX prices share bases and dividend timing 7
2.6 Negative observations zeros and Excel protections 7
3 The 27 measures and worked KOHC examples 8
3.1 Liquidity 8
3.2 Asset management 9
3.3 Debt management 11
3.4 Profitability 13
3.5 Market value 15
4 Kohat Cement performance from FY2021 to FY2025 18
4.1 FY2021 to FY2022 19
4.2 FY2022 to FY2023 19
4.3 FY2023 to FY2024 20
4.4 FY2024 to FY2025 20
4.5 What the latest ratios establish 20
5 Competitor performance 22
5.1 Lucky Cement 22
5.2 D G Khan Cement 25
5.3 Maple Leaf Cement 28
5.4 Fauji Cement 31
6 Five company sample comparison 34
6.1 Liquidity and working capital 35
6.2 Inventory collection and asset use 36
6.3 Financing and coverage 36
6.4 Profitability returns and earnings quality 36
6.5 Market valuation and distributions 37
6.6 Shared trends and the wider operating environment 37
7 Published ratio differences and limitations 38
7.1 What the current audit establishes 38
7.2 KOHC principal debt classification qualification 38
7.3 Other limits affecting the conclusions 39
8 Findings and recommendations 40
8.1 Financial strengths 40
8.2 Financial weaknesses 40
8.3 Actions supported by the findings 40
9 References 41
Project calculation and evidence records 41

1 Introduction and project methodology

KOHC is the main company assigned for the project. Lucky Cement, D.G. Khan Cement, Maple Leaf Cement and Fauji Cement provide listed Pakistani cement comparators with audited reports over the same five June year-ends. The aim is to assess liquidity, asset use, financing risk, accounting profitability and market valuation using 27 selected measures, including all 19 university-mandatory ratios.

Five years reveal whether a strong closing year represents a lasting improvement or recovery from an unusual base. Ratios reduce some differences in scale, but they do not remove differences in group structure, investment portfolios, plant age, expansion timing or accounting classifications. Net working capital remains an absolute amount and cannot be used to rank differently sized businesses on its own.

KOHC finishes FY2025 with the strongest current and quick ratios, high interest cover and strong accounting returns. Its latest revenue declines while gross profit rises. That combination is supported by lower cost of sales, management-reported fuel and energy measures, and investment income. Slower inventory and receivables turnover, no FY-attributed cash dividend and the role of other income qualify the conclusion. LUCK has the strongest cash cover, DGKC recovers sharply from weak profitability, MLCF benefits materially from subsidiary and investment income, and FCCL improves earnings while retaining the highest debt-to-equity in this sample.

Our benchmark is an equal-weight average of the selected company ratios, including KOHC. It is neither an official national industry ratio nor a ratio calculated from pooled financial statements. Smaller companies have the same weight as larger ones. Figures shown as n/m are excluded under the documented sample convention, while genuine zeros count. Changes in sample membership can therefore affect a reported mean.

The reporting boundary is standalone/unconsolidated throughout. This keeps each listed company as the unit of analysis. It does not eliminate the effects of investments in subsidiaries. The existing workbook is retained financially during this presentation revision; the identified KOHC accrued-mark-up classification issue is explained in Section 7 and qualifies the affected debt/ROIC figures.

Sources: Project Guidelines, required-ratio table (PDF p 5) and calculation conventions (PDF p 6); current submission Overview; current Audit, 27 Scope and Reconciliation Guide. Annual-report page references below are PDF page numbers unless a printed page is explicitly identified.

2 Financial data and accounting decisions

2.1 Standalone and consolidated reporting

Standalone accounts describe the listed legal company, including investments and recognized returns from subsidiaries. Consolidated accounts combine the parent and controlled subsidiaries line by line, eliminate internal balances and transactions, and identify non-controlling interests. Associates and joint ventures can require different treatment. Consolidation therefore involves more than adding group profits.

Lucky illustrates the scale difference. Its FY2025 standalone net sales are 124,511.74 and PAT is 33,092.16. Its directors report consolidated net revenue of 449,630 and consolidated PAT of 84,498, including 7,542 attributable to non-controlling interests; owners profit is 76,956. These group figures are not substituted into our standalone ratios. Combining group sales with parent-only assets would produce a misleading asset turnover.

Our selected boundary gives a consistent legal-company comparison. Parent investments can support dividends and capital gains while investees sales are absent from parent revenue. Lucky or Maple Leaf can therefore show strong investment income and returns without proportional cement-sales growth. These ratios describe the parent investment and cement business together, rather than the full group.

Lucky Cement Annual Report 2025, PDF pp 142-146: consolidated results and the separate unconsolidated performance table. The report gives owners profit of 76,956 and consolidated PAT of 84,498; the non-controlling amount above is the difference. Standalone statement figures are the current workbook inputs.

2.2 Extracting and standardizing the audited inputs

We extract net revenue after the reported sales deductions, rather than gross billing or cash receipts. Cost of sales, gross profit, selling and administration costs, impairment and other operating expenses come from the profit-or-loss statement and its notes. Expenses retain their accounting signs. Gross profit is sales plus negative cost of sales. Net income is the audited profit after levy and income tax, excluding other comprehensive income.

Current assets, current liabilities, total assets, total liabilities and common equity come from the statement of financial position. Notes identify inventory components, receivable allowances, financing maturities, leases, restricted cash and investment classifications. Equity is share capital plus the relevant reserves; it is not just paid-up capital. A financial-summary ratio is evidence for reconciliation, rather than an automatic replacement for audited statement inputs.

Total inventory combines stores, spares and stock-in-trade. Receivables are net customer trade balances after impairment, excluding unrelated loans or advances. Net PPE includes capital work in progress already contained in the audited PPE balance. The separate CWIP row is explanatory and is not added to PPE again. Operating PPE excluding CWIP is retained separately for understanding company-published alternatives.

Borrowing and finance-cost notes are necessary because the statement-face labels can combine different claims. Long- and short-term interest-bearing principal, current maturities and leases enter the intended IBD definition. Ordinary suppliers, tax, grants and non-interest financing are not interest-bearing principal. Expensed bank/lease interest is distinguished from bank fees, exchange

losses or other finance charges. Cash interest paid is a different period cash flow and is not the TIE denominator.

KOHC FY2025 model debt is long-term financing 1,448.977799 plus short-term borrowings 3.704884 plus current long-term maturities 837.359258, less embedded accrued interest 47.420397, giving 2,242.621544. Its lease balances and interest-free parent exclusion are zero. The subtraction currently covers the long-term-financing interest only; the short-term-mark-up omission is separately qualified in Section 7. These components come from the audited financing notes, not total liabilities.

The cash-flow statement supplies operating, investing and financing flows, interest paid and dividends paid, reconciled to closing cash. Cash-equivalent notes identify eligible gross components, borrowing netting and restricted balances. Current equity investments are not automatically cash equivalents.

Audited capital/EPS notes support weighted shares for EPS and closing shares excluding treasury shares for BVPS and market equity. FY cash DPS includes applicable final proposals. Dividend and unpaid-dividend notes distinguish FY distributions from older-liability settlements.

Table 1 Main extraction map

Input group	Current company-sheet location	Official source
Current assets, CL and total assets	Rows 24, 48 and 25	Financial position and component notes
Equity and total liabilities	Rows 29 and 49	Financial position and reserves notes
Total inventory and trade receivables	Rows 54 and 20	Stores/stock and trade-debt notes
Net PPE and CWIP	Rows 9 and 10	PPE note; CWIP is included in row 9
Debt and classifications	Rows 55 and 148-150	Borrowing, lease and related-party notes
Sales, COGS and net profit	Rows 64, 65 and 79	Profit or loss and taxation notes
Interest, EBIT and D&A	Rows 85, 82 and 81	Finance-cost and depreciation notes
Shares, PSX price and FY DPS	Rows 103-106	Capital/EPS notes, PSX and dividends

Source: current company worksheets, audited statement components and the Audit input/source registers. Available-cash and EV supporting rows differ slightly in MLCF; the ratio definitions are identical.

2.3 Period matching and balance conventions

All annual flows cover the relevant year ended June 30, and all closing balances match that date. FY2021 turnover averages require FY2020 opening inventory and net trade receivables. These audited openings remain in hidden column I on every company sheet, directly after FY2025 column H. I7 is the header, I54 total inventory and I20 net trade receivables. Selecting columns H:J and choosing Unhide reveals them; there is no separate hidden FY2020 worksheet.

Table 2 Selected conventions in the final workbook

Measure family	Balance basis
Current, quick and cash ratios; NWC	Closing assets and liabilities
Inventory turnover and DIO	Average opening/closing stores plus stock

Measure family	Balance basis
Receivables turnover and DSO	Average opening/closing net trade receivables
FAT and TAT	Closing net PPE including CWIP; closing total assets
Debt, D/E and debt-to-capital	Closing liabilities, IBD, assets and equity
ROA, ROE, ROIC and BEP	Closing assets, common equity or IBD plus equity
EPS	Audited compatible weighted-average shares
BVPS and market equity	Closing shares excluding treasury shares
P/E, M/B and Dividend Yield	Official FY-end PSX CLOSE and compatible per-share bases

A full-year flow divided by an opening/closing average reflects capital employed across the year more closely than a single closing balance when balances change substantially. Two-point averages still miss seasonal fluctuations. The workbook follows the class average convention for inventory and receivables, and its documented closing convention for assets and returns. The class slides show average assets/equity for several asset and return ratios, whereas textbook Table 4.2 displays the balance-sheet denominators without an average qualifier. Those variants are not identical. The TA clarification supplied with the project permits closing or average balances depending on supported company practices. The existing balance-practice investigation supports the stated selection; it does not establish that every issuer uses the same method.

Brigham and Houston, Fundamentals of Financial Management, Chapter 4, Table 4.2, printed p 131 (PDF p 173); Financial Management Chapter 04 class PowerPoint, slides 3-6; current workbook Overview and formulas. Project Guidelines PDF p 6 requires a stated consistent convention. Consistency here is within each selected measure across all companies and years.

2.4 Earnings debt taxation and enterprise value

The workbook distinguishes core operating profit before other income from its selected textbook EBIT. EBIT equals profit before levy/tax plus expensed interest. Recognized other income remains included, and non-interest finance charges remain expenses. Therefore Operating Margin in this model is an EBIT margin, not a pure cement-production margin; it can exceed gross margin when other income is material. The same EBIT supports TIE, BEP, ROIC and EBITDA.

Debt Ratio uses total liabilities divided by assets. D/E and Debt-to-Capital use the intended interest-bearing principal and lease definition. Invested capital is closing IBD plus common equity. ROIC uses NOPAT equal to EBIT multiplied by one minus the actual audited effective tax rate, including the selected audited levy/tax charges. The ETR is not capped or replaced with an assumed statutory rate. A deferred-tax charge can drive it above 100%, as in DGKC FY2023, creating negative NOPAT.

EV equals year-end share price times closing shares, plus book IBD and separately identified other financing claims, less available cash equivalents. The other claims include identified interest-free funding and accrued interest. This treatment recognizes claims relevant to EV without classifying them as interest-bearing principal for D/E. Book financing is an explicit proxy for unavailable debt market values. EBITDA adds audited depreciation and amortization once to the selected EBIT; it is not operating cash flow.

2.5 PSX prices share bases and dividend timing

Table 3 Verified official year-end prices in PKR per share

FY and trading session	KOHC	LUCK	DGKC	MLCF	FCCL
2021 30 Jun	206.49	863.44	117.92	46.98	23.00
2022 30 Jun	130.13	459.04	62.50	27.35	14.17
2023 27 Jun	173.47	522.09	51.30	28.33	11.76
2024 28 Jun	250.43	906.73	90.27	38.00	22.91
2025 30 Jun	379.36	355.24	165.56	84.28	44.67

June 30 is the financial year-end, but a non-trading date requires the last available session on or before it. The verified 2023 and 2024 dates above follow that rule. The PSX CLOSE field is used, rather than a current price, an analyst target or an adjusted third-party time series. Existing official URLs and retained trading evidence remain in the Audit PSX Prices and Price Evidence sheets.

LUCK split trading began on 28 April 2025, so its June 2025 close and per-share denominators are on the post-split unit. KOHC split trading began on 25 August 2025, after FY2025, so the June 2025 price remains pre-split. A later annual report may retrospectively restate EPS without changing the old trading quotation. Matching the price and share unit prevents an arbitrary fivefold P/E or M/B distortion. Bonus issues and buybacks are treated from the verified corporate-action/share-basis records, rather than inferred from a price movement.

A FY2025 dividend proposal can be attributed to FY2025 even if approval/payment occurs later. Conversely, a cash payment in FY2025 can discharge an older dividend liability. KOHC pays 3.158 in its FY2025 cash-flow statement while FY-attributed DPS is zero: note 10 shows dividend payable falling from 36.835 to 33.677. The short Excel annotation "No dividend paid" refers to no dividend attributable to the FY; it does not assert there was no cash settlement of old liabilities. This clarification appears once in Overview.

Sources: existing Audit PSX Prices, Price Evidence, Corporate Actions and Share Basis; KOHC Annual Report 2025 PDF pp 27, 73 and 93, notes 10 and 44. The official historical prices and corporate-action adjustments are preserved.

2.6 Negative observations zeros and Excel protections

The project guidelines, printed p 5/PDF p 6, require negative or non-meaningful results to display as n/m with a footnote. This is a presentation rule, not a reason to erase signed accounting data. Negative NWC means current liabilities exceed current assets and remains economically interpretable. DGKC has such deficits in FY2021-FY2023 and FCCL in FY2023-FY2024. DGKC FY2023 losses and negative NOPAT also produce n/m earnings/return measures and P/E.

The formula wrappers first test whether inputs are numeric, then test a valid positive denominator and the permitted numerator sign, then divide. Numeric zero passes where the definition allows it. For example, zero DPS divided by a positive share price is numeric 0.00%, never n/m. AVERAGE ignores text n/m and includes numeric zeros. Excluding n/m from the sample is our documented averaging choice; the guideline quotation itself does not expressly prescribe that averaging rule. Chart helpers use intentional #N/A values to create gaps for non-meaningful points.

3 The 27 measures and worked KOHC examples

Each example uses KOHC FY2025 and the current workbook result, including the disclosed debt-classification qualification. Financial amounts are PKR million and share counts are millions. The core formulas below sit inside the Excel validity/display wrappers. Percentages store a numeric quotient and use percentage formatting. Examples show rounded inputs; Excel calculates with full precision.

3.1 Liquidity

1 Current Ratio

Formula: Current assets / Current liabilities.

Measures the recorded short-term asset cover for obligations due within the operating cycle or next year. It is a balance-sheet liquidity measure. The numerator is closing current assets. The denominator is closing current liabilities.

More current-asset cover usually gives a larger short-term buffer. Excess assets can also reflect idle resources or difficult-to-realize inventories. A low result leaves less balance-sheet cover and increases reliance on collections, inventory sales, refinancing or operating cash generation. Current assets are not all immediately spendable. A year-end snapshot does not measure the exact timing of payments or the availability of credit lines.

KOHC FY2025: 38,614.792 / 11,661.701 = 3.31 x. Result cell H111. Mandatory measure.

2 Quick Ratio

Formula: (Current assets - Total inventory) / Current liabilities.

Tests liquidity after removing stores, spares and stock-in-trade. This makes the test less dependent on selling or consuming inventory. The numerator is closing current assets less total inventory. The denominator is closing current liabilities.

A higher result indicates more non-inventory current assets per rupee of current obligations. A low result suggests stronger dependence on inventory conversion or other funding. It is particularly relevant when inventory days are rising. The chosen textbook formula removes inventory only. It does not additionally exclude every prepayment or tax balance, and it does not imply that all remaining assets are cash.

KOHC FY2025: (38,614.792 - 7,504.868) / 11,661.701 = 2.67 x. Result cell H112. Mandatory measure.

3 Cash Ratio

Formula: Available cash equivalents / Current liabilities.

Measures immediate liquid asset cover without depending on inventory sales or customer collections. The numerator is available cash and audited qualifying cash equivalents. The denominator is closing current liabilities.

More qualifying cash provides a stronger immediate payment buffer, subject to restrictions and payment timing. Low cash cover requires operating receipts, receivable collections or financing. A profitable company can still have a low cash ratio. Only investments identified as qualifying cash

equivalents are included. Quoted equity investments are not automatically cash equivalents. Pledged balances are excluded. Borrowings remain gross in liabilities.

KOHC FY2025: 1,450.703 / 11,661.701 = 0.12 x. Result cell H113. Mandatory measure.

4 Net Working Capital

Formula: Current assets - Current liabilities.

Shows the absolute excess or deficit of current assets over current liabilities. Unlike a liquidity multiple, it is strongly affected by company scale. The numerator is closing current assets less closing current liabilities. This is an absolute amount, so there is no financing or asset denominator.

A larger positive amount provides more net short-term asset funding, but can also represent cash tied up in working capital. A small or negative amount means limited net current-asset cover. Negative working capital is a real accounting position that needs interpretation alongside cash flows and funding. It is not suitable for ranking differently sized firms by itself. The project displays negative calculated observations as n/m, but the signed deficit remains in statements and audit workings.

KOHC FY2025: 38,614.792 - 11,661.701 = 26,953.09 PKR million. Result cell H114. Additional selected measure.

How the related measures work together

Current, quick and cash ratios progressively restrict the asset pool while keeping CL fixed. NWC measures the absolute surplus/deficit. A high current ratio alongside low cash cover signals that the composition and availability of assets matter. NWC can rise while the current ratio falls if both CA and CL expand but CL grows faster proportionally.

3.2 Asset management

5 Inventory Turnover

Formula: Positive COGS / Average total inventory.

Estimates how many times the average inventory balance is consumed through cost of sales during the year. Stores and spares are included consistently. The numerator is annual cost of goods sold, taken as a positive expense magnitude. The denominator is average opening and closing total inventory.

Faster turnover can indicate less capital tied up in stock, but can also reflect low buffers or different production and stocking requirements. Slower turnover implies more inventory relative to annual cost consumption. It may reflect deliberate stocks, lower output or unsold goods; the ratio alone cannot choose the cause. Two-point averaging cannot capture seasonal peaks. Stores are not identical to finished cement, and reported COGS includes non-purchased costs. Company stock-only or sales-based ratios are separate reconstructions.

KOHC FY2025: 22,814.094 / 7,542.147 = 3.02 x. Result cell H116. Mandatory measure.

The denominator is (7,579.425926 + 7,504.868027) / 2. Stores and stock are combined in both years; the negative statement expense is converted to a positive COGS magnitude for turnover only.

6 Receivables Turnover

Formula: Net sales / Average net trade receivables.

Measures annual revenue relative to the average customer receivable balance. It is the turnover counterpart of DSO. The numerator is annual net sales. The denominator is average opening and closing net trade receivables.

Higher turnover generally means less receivable funding per rupee of sales and faster apparent collection. Lower turnover indicates a larger receivable balance relative to sales, which warrants checking credit terms, collection timing and impairment. Separate credit sales are unavailable, so annual net sales are a disclosed proxy. Cash sales in the numerator can make apparent collection faster. Averages use only opening and closing dates.

KOHC FY2025: 37,535.700 / 1,901.233 = 19.74 x. Result cell H117. Additional selected measure.

Average net receivables are (2,110.247902 + 1,692.217832) / 2. The source receivables are net of the audited allowance; total net sales proxy unavailable credit sales.

7 Days Inventory Outstanding

Formula: 365 x Average total inventory / Positive COGS.

Converts inventory turnover into an approximate number of days of inventory held on the selected average-inventory basis. The embedded formula is algebraically equivalent to 365 divided by unrounded turnover. The numerator is 365 times average opening and closing total inventory. The denominator is annual cost of goods sold as a positive magnitude.

More days mean more inventory relative to annual cost consumption. This can provide security of supply but tie up funds. Fewer days imply faster stock movement or lower buffers. Very low stocks can expose production to supply interruptions. DIO is not a physical age measurement for each stock item. Use the unrounded turnover in the formula; rounding turnover first can alter the final number of days.

KOHC FY2025: 2,752,883.646 / 22,814.094 = 121. Result cell H118. Additional selected measure.

8 Days Sales Outstanding

Formula: 365 x Average net trade receivables / Net sales.

Estimates the sales days represented by average trade receivables. Algebraically it equals 365 divided by receivables turnover. The numerator is 365 times average opening and closing net trade receivables. The denominator is annual net sales.

More days suggest more sales value tied up in receivables and potentially slower collection. Fewer days indicate a smaller receivable balance relative to sales, which may reflect faster collection or more cash and advance sales. This is an estimate using total net sales, not a verified average invoice collection period. Closing-only and gross-receivable conventions produce different answers. FCCL published DSO remains unconfirmed in three years.

KOHC FY2025: 693,949.996 / 37,535.700 = 18. Result cell H119. Mandatory measure.

9 Fixed Asset Turnover

Formula: Net sales / Closing net PPE including CWIP.

Measures revenue generated per rupee of the chosen closing fixed-asset carrying value. The numerator is annual net sales. The denominator is closing net property, plant and equipment including CWIP.

A higher figure suggests more revenue for each rupee of recorded PPE, though old depreciated assets can raise the number. A lower figure may reflect expansion, CWIP awaiting use, a larger revalued asset base or weaker sales. It is not automatically proof of poor plant management. Net book values depend on asset age, depreciation and revaluation. CWIP is included for every company, so unfinished projects can depress turnover before contributing revenue.

KOHC FY2025: 37,535.700 / 23,359.981 = 1.61 x. Result cell H120. Mandatory measure.

10 Total Asset Turnover

Formula: Net sales / Closing total assets.

Measures revenue relative to the whole recorded asset base, including investments and assets outside current cement production. The numerator is annual net sales. The denominator is closing total assets.

A higher result means more sales per rupee of total assets. It can reflect efficient use or simply a smaller book asset base. A lower result may reflect investments, CWIP, surplus liquidity, revaluations or a fall in sales. Inspect the asset composition before assigning a cause. Standalone investments can earn dividends without adding their investees' sales to the numerator. This can reduce turnover while raising EBIT. FCCL's published labelled turnover table is internally inconsistent for four years.

KOHC FY2025: 37,535.700 / 66,794.312 = 0.56 x. Result cell H121. Mandatory measure.

How the related measures work together

DIO is the reciprocal of inventory turnover times 365; DSO similarly follows receivables turnover. They move in opposite directions with matching bases. FAT and TAT differ because total assets include investments and working capital as well as PPE. A company can improve FAT while TAT falls if its other assets expand faster than sales.

3.3 Debt management

11 Debt Ratio

Formula: Total liabilities / Total assets.

Shows the share of recorded assets financed by all obligations, including operating payables, deferred tax, borrowings and other liabilities. The numerator is closing total liabilities. The denominator is closing total assets.

A larger liability share means a smaller equity cushion. The nature and maturity of those liabilities determine the financing risk. A lower share indicates more equity funding, but does not by itself show whether the capital structure is efficient. This broad debt ratio is deliberately different from

interest-bearing D/E. An operating payable and an interest-bearing loan have different cash-flow costs and risk.

KOHC FY2025: 18,839.117 / 66,794.312 = 28.20%. Result cell H123. Mandatory measure.

12 Debt-to-Equity Ratio

Formula: Interest-bearing debt / Common equity.

Measures interest-bearing financing relative to the shareholders' recorded equity cushion. The numerator is closing interest-bearing principal and lease liabilities. The denominator is closing common equity.

A higher result means more interest-bearing debt per rupee of equity and potentially greater sensitivity to interest costs and refinancing. A lower result indicates less reliance on interest-bearing financing. It does not remove operating liabilities or future capital needs. Interest-free parent funding and accrued interest are excluded from principal; they are not ignored in the statements or EV. Negative or zero equity would make the conventional comparison non-meaningful.

KOHC FY2025: 2,242.622 / 47,955.195 = 0.05 x. Result cell H124. Mandatory measure.

The example reproduces the current model. The short-term-mark-up issue in Section 7 qualifies its debt/capital classification; no corrected figure is substituted here.

13 Total Debt-to-Total Capital

Formula: Interest-bearing debt / (Interest-bearing debt + Common equity).

Shows the proportion of financed capital represented by interest-bearing debt. It uses the same debt scope as D/E. The numerator is closing interest-bearing principal and leases. The denominator is the same interest-bearing debt plus closing common equity.

A higher percentage means a greater debt share in this defined financing pool. A lower percentage means a larger common-equity share. It should be assessed with profitability, financing costs and investment needs. It does not include all liabilities. A published capital mix such as rounded debt:equity percentages is not the same number as a debt/equity quotient.

KOHC FY2025: 2,242.622 / 50,197.816 = 4.47%. Result cell H125. Additional selected measure.

The example reproduces the current model. The short-term-mark-up issue in Section 7 qualifies its debt/capital classification; no corrected figure is substituted here.

14 Times Interest Earned

Formula: Selected EBIT / Expensed interest.

Measures the accounting earnings cover for interest recognized in profit or loss. It is a debt-service indicator rather than a cash-payment test. The numerator is profit before levy and tax plus expensed interest (EBIT). The denominator is expensed financing interest, including relevant lease interest.

A larger multiple gives more earnings headroom over current expensed interest, although volatile investment income can affect that cover. A small multiple signals less headroom. Below one means EBIT is insufficient to cover the selected annual interest expense. Full finance cost can include fees

and exchange differences. Capitalized borrowing costs and cash interest paid do not equal expensed interest. FCCL FY2025 published 4.84 cannot be reproduced exactly from an established convention.

KOHC FY2025: 18,053.034 / 306.211 = 58.96 x. Result cell H126. Mandatory measure.

EBIT is pre-levy/pre-tax profit 17,746.823417 plus expensed interest 306.210739. Interest is total finance-cost magnitude 349.910716 less identified non-interest charges 43.699977. Both the numerator and denominator therefore use the same expensed-interest definition.

How the related measures work together

Debt Ratio covers all liabilities, whereas D/E and Debt-to-Capital focus on defined IBD. Lower D/E can result from equity growth even when borrowing rises. TIE is an earnings/interest flow comparison, so it can improve without a debt reduction when EBIT grows faster than expensed interest.

3.4 Profitability

15 Gross Profit Margin

Formula: Gross profit / Net sales.

Measures revenue remaining after the company's audited cost-of-sales classification, before other operating expenses, financing and tax. The numerator is audited gross profit (net sales less cost of sales). The denominator is annual net sales.

A higher gross margin leaves more revenue to cover the remaining expenses and profit. A lower margin gives less cushion against distribution, administration, financing and tax. Freight reclassifications can move costs between COGS and distribution without changing total profit. Historical gross margins therefore need the reclassification note as well as an economic explanation.

KOHC FY2025: 14,721.606 / 37,535.700 = 39.22%. Result cell H128. Mandatory measure.

16 Operating Margin

Formula: Selected EBIT / Net sales.

Measures earnings before expensed interest and audited tax/levy relative to revenue. The project uses the same EBIT definition in TIE, BEP, ROIC and EBITDA. The numerator is textbook EBIT: pre-levy/pre-tax profit plus expensed interest. The denominator is annual net sales.

A higher EBIT margin gives more pre-interest earnings per rupee of sales. Other recognized income can materially contribute. A lower margin leaves less accounting earnings to absorb interest and taxation. This EBIT includes other income and is not the pure cement production margin. Core operating profit before other income is separately shown in the income statement.

KOHC FY2025: 18,053.034 / 37,535.700 = 48.10%. Result cell H129. Mandatory measure.

17 Net Profit Margin

Formula: Net income / Net sales.

Shows the accounting profit attributable to ordinary shareholders per rupee of sales after operating costs, financing and audited taxation. The numerator is net income after audited levy and income tax. The denominator is annual net sales.

A higher result indicates more profit retained from revenue, but assess the sustainability of other income and tax effects. A low or negative result indicates little profit or an accounting loss after all recognized expenses. The guideline displays negative results as n/m. A tax charge, deferred-tax movement or other income can change net margin without an equivalent operating change.

KOHC FY2025: 11,575.154 / 37,535.700 = 30.84%. Result cell H130. Mandatory measure.

18 Return on Assets

Formula: Net income / Closing total assets.

Measures after-tax accounting earnings relative to the recorded closing asset base. The numerator is net income after audited levy and tax. The denominator is closing total assets.

A higher ROA can come from stronger margins, greater asset turnover or both. A low ROA indicates less earnings per rupee of assets, which can reflect weak margins or a large asset base. Closing assets are the documented common basis. Average assets would give a different return during rapid expansion. Book values, investments and deferred tax affect comparisons.

KOHC FY2025: 11,575.154 / 66,794.312 = 17.33%. Result cell H131. Mandatory measure.

19 Return on Equity

Formula: Net income / Closing common equity.

Measures accounting earnings relative to the closing common-equity carrying amount. The numerator is net income attributable to common equity. The denominator is closing common equity.

A higher ROE may reflect strong earnings but can also be amplified by a small equity base or greater leverage. A lower result means less net income for each rupee of recorded common equity. It is not a shareholder market return. Buybacks and revaluations affect equity. Comprehensive income includes OCI, whereas this project consistently uses net income.

KOHC FY2025: 11,575.154 / 47,955.195 = 24.14%. Result cell H132. Mandatory measure.

20 Return on Invested Capital

Formula: EBIT x (1 - actual ETR) / Closing invested capital.

Estimates after-tax pre-interest earnings generated for the defined providers of financed capital. The numerator is eBIT multiplied by one minus actual audited effective tax rate. The denominator is closing interest-bearing debt plus closing common equity.

A higher result suggests greater NOPAT relative to the chosen capital base. It is meaningful only with a defensible tax and capital convention. A lower or negative result can come from lower EBIT, a larger capital base or a high audited effective tax charge. The actual ETR includes deferred and

special audited tax effects. It is not a marginal cash tax rate. No identical issuer ROIC series was confirmed, so this is an explicit project convention, not an issuer formula.

KOHC FY2025: 11,774.876 / 50,197.816 = 23.46%. Result cell H133. Additional selected measure.

Actual ETR is 6,171.669346 of levy/tax divided by 17,746.823417 pre-levy/pre-tax profit, or 34.7762%. This converts EBIT 18,053.034156 into NOPAT 11,774.876376. Closing invested capital is model IBD 2,242.621544 plus equity 47,955.194787.

The example reproduces the current model. The short-term-mark-up issue in Section 7 qualifies its debt/capital classification; no corrected figure is substituted here.

21 Basic Earning Power

Formula: Selected EBIT / Closing total assets.

Measures the pre-interest, pre-tax earning power of the recorded asset base. The numerator is the same textbook EBIT used in the other earnings measures. The denominator is closing total assets.

A higher result indicates more EBIT per rupee of assets and can reflect stronger margins or faster asset turnover. A lower result suggests weaker pre-interest earnings relative to the asset base. Other income is included, and closing book assets can contain investments and revaluation effects. BEP does not measure cash generation or remove all accounting-policy differences.

KOHC FY2025: 18,053.034 / 66,794.312 = 27.03%. Result cell H134. Additional selected measure.

How the related measures work together

ROA equals net margin times TAT on the same closing asset basis. ROE additionally reflects the equity financing base. ROIC uses after-tax pre-interest earnings and financed capital; BEP removes tax and interest from the numerator. A higher margin can coexist with falling asset turnover, and ROE can fall despite PAT growth if equity grows faster.

3.5 Market value

22 Earnings per Share

Formula: Net income / Compatible weighted-average ordinary shares.

Allocates annual accounting earnings to each weighted ordinary share. Weighted shares reflect the time shares participated in the year, with applicable corporate-action treatment. The numerator is net income attributable to ordinary shareholders. The denominator is compatible audited weighted-average ordinary shares.

Higher EPS for the same company and compatible share basis indicates more earnings per share, but can also reflect a lower share count. Lower EPS can reflect weaker earnings or a larger share denominator. Negative EPS represents a loss, displayed as n/m here. Raw EPS is not comparable across different share denominations. Splits change EPS and price mechanically without creating value. Do not interpret LUCK's split-year EPS decline as an earnings collapse.

KOHC FY2025: 11,575.154071 / 193.428420 = 59.84. Result cell H136. Mandatory measure.

The weighted-share figure reflects the period during which shares participated in earnings. It is not replaced with the lower year-end share count after a buyback.

23 Book Value per Share

Formula: Common equity / Closing ordinary shares outstanding.

Shows recorded net assets backing each ordinary share at year-end. The numerator is closing common equity. The denominator is closing ordinary shares outstanding excluding treasury shares.

Higher BVPS can reflect accumulated earnings or revaluation, but comparisons require attention to share denominations. Lower BVPS can reflect a larger share count, losses, distributions or lower book net assets. Book value is not a liquidation or market valuation. Weighted-average shares are inappropriate for this closing balance measure. Buybacks and splits can change the per-share result.

KOHC FY2025: 47,955.194787 / 183.861297 = 260.82. Result cell H137. Additional selected measure.

Closing shares equal share capital 1,838.612970 / par value 10.00, less any treasury shares. That produces 183.861297 million outstanding shares in this example.

24 Price-to-Earnings

Formula: Official PSX FY-end close / Compatible unrounded EPS.

Shows the price paid at the selected year-end for each rupee of annual accounting earnings. The numerator is official PSX fiscal-year-end closing share price. The denominator is unrounded EPS on the compatible share basis.

A higher P/E can reflect stronger expectations, lower perceived risk or unusually weak current earnings. It is not automatically overvaluation. A lower P/E can reflect a lower price, stronger current earnings or market concerns. It is not automatically a bargain. Negative earnings make the conventional P/E non-meaningful. Earnings quality, cyclicality and price timing matter. The exact FCCL published pricing rule remains unconfirmed in all five years.

KOHC FY2025: 379.360000 / 59.842055 = 6.34 x. Result cell H138. Mandatory measure.

25 Market-to-Book

Formula: Official PSX FY-end close / Compatible unrounded BVPS.

Compares the year-end equity market value per share with recorded common-equity book value per share. The numerator is official PSX fiscal-year-end closing share price. The denominator is closing BVPS on the same share basis.

A higher multiple means a larger market premium over book equity. Expected profitability and risk can influence that premium. A lower result means a smaller premium or a discount to book equity. It does not prove that assets can be realized at book value. Book accounting, asset revaluations and share bases affect comparisons. KOHC's historical tangible-asset summary calculation is different from the textbook common-equity denominator.

KOHC FY2025: 379.360000 / 260.822672 = 1.45 x. Result cell H139. Mandatory measure.

26 Dividend Yield

Formula: FY cash DPS / Official PSX FY-end close.

Measures the annual cash dividend relative to the selected year-end purchase price. The numerator is cash dividend per ordinary share for the financial year. The denominator is official PSX fiscal-year-end closing price on a matching basis.

A higher yield offers more historical cash distribution relative to price, but may also result from a depressed share price. A low or zero yield means little or no cash dividend relative to price. It does not by itself indicate poor profitability. This is a historical yield, not a forecast or total shareholder return. A genuine zero dividend remains numeric zero and is not n/m. Dividends paid in the cash-flow statement can differ in timing from dividends for the year.

KOHC FY2025: 0.000000 / 379.360000 = 0.00%. Result cell H140. Mandatory measure.

27 Enterprise Value/EBITDA

Formula: Defined enterprise value / (Selected EBIT + audited D&A).

Compares the defined enterprise value with accounting earnings before expensed interest, tax and D&A. The numerator is year-end market capitalization plus book financing and other claims less available cash equivalents. The denominator is textbook EBIT plus audited depreciation and amortization.

A higher multiple means a larger enterprise value for each rupee of this EBITDA. It can reflect expectations or weak current EBITDA. A lower multiple can reflect a lower valuation or stronger current EBITDA, but does not alone establish an attractive investment. Book financing approximates unavailable debt market values. EBITDA includes recognized other income and ignores replacement capex, working-capital funding and taxes. Different investment structures and lease accounting limit comparability.

KOHC FY2025: 70,588.961 / 19,318.029 = 3.65 x. Result cell H141. Additional selected measure.

EV is market equity 69,749.622 + model IBD 2,242.622 + other financing claims 47.420 - available cash 1,450.703. EBITDA is EBIT 18,053.034 + audited D&A 1,264.995. The short-term-mark-up correction would need an equal reclassification between IBD and claims to preserve the enterprise claim total.

How the related measures work together

P/E compares price with annual profit, M/B with closing book equity and EV/EBITDA with enterprise claims and the defined EBITDA. A multiple can rise because price increases or because earnings weaken. Zero dividend yield does not mean zero profit or zero total shareholder return. Split-denomination EPS and BVPS cannot be compared across firms as if they were common economic units.

Formula sources: current company ratio rows 111-141 and supporting statement/EV rows; Project Guidelines required-ratio list; Brigham and Houston Chapter 4 Table 4.2; class slides 2-8. The current workbook selection and conventions control the worked examples.

4 Kohat Cement performance from FY2021 to FY2025

Across the period, KOHC sales rise from 24,057.38 to 37,535.70, while PAT rises from 3,497.51 to 11,575.15. The path matters: revenue peaks in FY2023 and then declines, but profit continues to rise. Current ratio improves from 1.30 x to 3.31 x while DIO lengthens from 75 to 121 days. This combines stronger financial cover with slower cost-based stock consumption.

Table 4 KOHC selected financial inputs in PKR million

Input	FY2021	FY2022	FY2023	FY2024	FY2025
Net sales	24,057.38	32,876.95	38,921.64	38,647.77	37,535.70
Cost of sales magnitude	18,092.03	23,065.18	28,488.94	27,391.28	22,814.09
Gross profit	5,965.35	9,811.77	10,432.69	11,256.49	14,721.61
PAT	3,497.51	5,024.28	5,820.75	8,893.45	11,575.15
Total assets	36,086.92	43,350.67	49,530.08	58,843.30	66,794.31
Common equity	22,223.54	27,246.22	32,610.04	41,090.31	47,955.19
Model IBD	6,050.79	4,251.31	3,183.37	2,153.06	2,242.62
Expensed interest	490.30	515.34	683.56	646.18	306.21
CFO	5,089.32	8,181.36	4,452.08	6,647.17	9,378.29

Source: current KOHC company-sheet statements. Model IBD is shown as recorded, with the known KOHC classification qualification retained.

Table 5 KOHC financial measures

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Current Ratio	1.30x	1.87x	2.31x	2.90x	3.31x
Quick Ratio	0.75x	1.28x	1.54x	2.22x	2.67x
Cash Ratio	0.16x	0.05x	0.09x	0.10x	0.12x
Net Working Capital	2,276.55	8,287.84	13,000.91	21,116.76	26,953.09
Inventory Turnover	4.86x	4.68x	4.28x	3.60x	3.02x
Receivables Turnover	32.56x	34.61x	36.69x	23.31x	19.74x
Days Inventory Outstanding	75	78	85	102	121
Days Sales Outstanding	11	11	10	16	18
Fixed Asset Turnover	1.09x	1.54x	1.75x	1.74x	1.61x
Total Asset Turnover	0.67x	0.76x	0.79x	0.66x	0.56x
Debt Ratio	38.42%	37.15%	34.16%	30.17%	28.20%
Debt-to-Equity Ratio	0.27x	0.16x	0.10x	0.05x	0.05x
Total Debt-to-Total Capital	21.40%	13.50%	8.89%	4.98%	4.47%
Times Interest Earned	10.97x	18.32x	16.32x	22.32x	58.96x
Gross Profit Margin	24.80%	29.84%	26.80%	29.13%	39.22%
Operating Margin	22.35%	28.72%	28.65%	37.32%	48.10%
Net Profit Margin	14.54%	15.28%	14.96%	23.01%	30.84%

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Return on Assets	9.69%	11.59%	11.75%	15.11%	17.33%
Return on Equity	15.74%	18.44%	17.85%	21.64%	24.14%
Return on Invested Capital	13.61%	16.87%	17.32%	21.53%	23.46%
Basic Earning Power	14.90%	21.78%	22.52%	24.51%	27.03%
Earnings per Share	17.41	25.01	28.98	45.27	59.84
Book Value per Share	110.64	135.65	162.35	209.79	260.82
Price-to-Earnings	11.86x	5.20x	5.99x	5.53x	6.34x
Market-to-Book	1.87x	0.96x	1.07x	1.19x	1.45x
Dividend Yield	0.00%	0.00%	0.00%	0.00%	0.00%
Enterprise Value/EBITDA	7.03x	2.85x	3.04x	3.22x	3.65x

Source: cleaned submission, KOHC ratio rows 111-141. Units: margins/returns/debt ratios and yield are percentages; turnover/valuation multiples are x; days are whole days; NWC is PKR million; EPS/BVPS are PKR per share. n/m follows Section 2.6. KOHC debt-derived figures retain the Section 7 qualification.

4.1 FY2021 to FY2022

Net sales increased by 36.66% to 32,876.95, while cost of sales increased by 27.49% to 23,065.18. Gross margin moved from 24.80% to 29.84%. PAT changed from 3,497.51 to 5,024.28; net margin moved from 14.54% to 15.28%. Current ratio changed from 1.30 x to 1.87 x as current assets increased by 80.49% and CL increased by 25.30%. TAT moved from 0.67 x to 0.76 x because total assets increased by 20.13% relative to sales. TIE changed from 10.97 x to 18.32 x: EBIT increased by 75.60%, while expensed interest increased by 5.11%.

Higher cement selling prices supported revenue despite lower dispatches. Management describes exceptionally high coal, electricity and petroleum prices, partial mitigation from local/Afghan coal, and a super-tax charge. A sales increase therefore does not establish higher physical demand.

KOHC FY2022 report PDF p 22.

4.2 FY2022 to FY2023

Net sales increased by 18.39% to 38,921.64, while cost of sales increased by 23.51% to 28,488.94. Gross margin moved from 29.84% to 26.80%. PAT changed from 5,024.28 to 5,820.75; net margin moved from 15.28% to 14.96%. Current ratio changed from 1.87 x to 2.31 x as current assets increased by 28.90% and CL increased by 4.47%. TAT moved from 0.76 x to 0.79 x because total assets increased by 14.25% relative to sales. TIE changed from 18.32 x to 16.32 x: EBIT increased by 18.13%, while expensed interest increased by 32.64%.

Management reports dispatch pressure from floods, import restrictions and lower development spending, together with PKR depreciation and higher fuel, power and packing costs. It states that cost increases could not be fully passed through, which supports the gross-margin decline.

KOHC FY2023 report PDF p 22.

4.3 FY2023 to FY2024

Net sales decreased by 0.70% to 38,647.77, while cost of sales decreased by 3.85% to 27,391.28. Gross margin moved from 26.80% to 29.13%. PAT changed from 5,820.75 to 8,893.45; net margin moved from 14.96% to 23.01%. Current ratio changed from 2.31 x to 2.90 x as current assets increased by 40.58% and CL increased by 11.94%. TAT moved from 0.79 x to 0.66 x because total assets increased by 18.80% relative to sales. TIE changed from 16.32 x to 22.32 x: EBIT increased by 29.32%, while expensed interest decreased by 5.47%.

Directors report lower domestic volumes but substantial returns from surplus cash placed in mutual funds and banks at high interest rates. This supports distinguishing investment-income-led profit growth from cement volume growth.

KOHC FY2024 report PDF p 24.

4.4 FY2024 to FY2025

Net sales decreased by 2.88% to 37,535.70, while cost of sales decreased by 16.71% to 22,814.09. Gross margin moved from 29.13% to 39.22%. PAT changed from 8,893.45 to 11,575.15; net margin moved from 23.01% to 30.84%. Current ratio changed from 2.90 x to 3.31 x as current assets increased by 19.88% and CL increased by 5.10%. TAT moved from 0.66 x to 0.56 x because total assets increased by 13.51% relative to sales. TIE changed from 22.32 x to 58.96 x: EBIT increased by 25.17%, while expensed interest decreased by 52.61%.

Cement sales volume fell from 2.586 m to 2.328 m tonnes. Management attributes stronger profitability to coal/fuel management and renewable-energy efficiency. A commissioned 5.34 MW solar project took installed solar capacity to 15.34 MW; the coal-fired power project was still under construction and must not be described as already delivering a full FY2025 saving.

KOHC FY2025 report PDF pp 26-27.

4.5 What the latest ratios establish

Current assets rise from 32,212.40 to 38,614.79, while current liabilities also rise, from 11,095.64 to 11,661.70. The current-ratio improvement is therefore driven by faster CA growth, not falling CL. Quick ratio reaches 2.67 x, but cash ratio is only 0.12 x. A large current-asset buffer is not the same as immediate cash availability.

Inventory turnover falls from 3.60 x to 3.02 x even though average inventory falls slightly, from 7,617.709 to 7,542.147. COGS falls much faster, by 16.71%, so the cost-consumption rate slows. Closing receivables fall, but average receivables rise from 1,657.901 to 1,901.233 as the high FY2024 closing balance enters the two-point average. Sales fall 2.88%, raising DSO from 15.66 to 18.49 days. These examples show why checking only the latest closing asset is insufficient.

FAT falls from 1.74 x to 1.61 x and TAT from 0.66 x to 0.56 x, while gross margin reaches 39.22% and net margin 30.84%. Margins, rather than improved turnover, drive stronger ROA. The EBIT margin of 48.10% includes other income; core operating profit divided by sales is approximately 34.14%. Describing the full 48.10% as a pure factory operating margin would overstate production profitability.

The FY2025 buyback of 12 million shares costs 4,709.365 in cash but reduces nominal capital by only 120.000 at PKR 10 par value. Weighted shares fall 1.53%, adding to PAT growth in lifting EPS from PKR 45.27 to PKR 59.84. Closing shares fall 6.13%, supporting BVPS growth. These are separate from the later stock split. Directors retain cash for investments and propose no FY2025 dividend; zero yield is a capital-allocation result rather than missing profit.

CFO rises to 9,378.29. Net investing uses 4,398.60 and financing uses 4,631.64, leaving a cash increase of 348.05. The statements therefore support stronger cash generation alongside substantial capital allocation. The liquidity/earnings conclusion is strong, although project returns, working-capital speed and earnings quality warrant continued attention.

KOHC FY2025 directors report PDF pp 26-27; cash-flow statement PDF p 73; capital, EPS, other-income and dividend-payable notes; current model input and ratio rows. The debt-classification issue is detailed in Section 7.

5 Competitor performance

5.1 Lucky Cement

Lucky has the largest standalone sales and strongest available-cash cover in the selected group. Its parent investments, other income and split-year per-share presentation require particular care. Larger absolute working capital does not by itself establish better liquidity than KOHC.

Table 6 LUCK selected financial inputs in PKR million

Input	FY2021	FY2022	FY2023	FY2024	FY2025
Net sales	62,940.81	81,093.52	95,832.15	115,324.94	124,511.74
Cost of sales magnitude	43,984.87	58,541.68	69,771.47	76,520.37	81,827.06
Gross profit	18,955.93	22,551.84	26,060.68	38,804.57	42,684.68
PAT	14,070.19	15,298.62	13,725.81	28,106.54	33,092.16
Total assets	156,368.06	184,962.37	213,079.07	234,018.09	266,748.03
Common equity	113,200.26	128,540.32	137,366.33	147,761.28	175,910.40
Model IBD	10,490.95	15,595.65	21,041.95	20,344.78	17,535.61
Expensed interest	332.90	394.52	1,158.80	1,560.53	1,326.05
CFO	12,492.63	15,469.45	23,242.90	27,580.74	27,572.57

Source: current LUCK company-sheet statements. Model IBD is shown as recorded, with the known KOHC classification qualification retained.

Table 7 LUCK financial measures

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Current Ratio	1.34x	1.48x	1.29x	1.26x	1.71x
Quick Ratio	0.89x	0.87x	0.85x	0.84x	1.29x
Cash Ratio	0.62x	0.51x	0.56x	0.60x	1.09x
Net Working Capital	10,289.30	14,454.33	13,395.76	14,263.61	41,905.98
Inventory Turnover	3.81x	3.66x	3.62x	3.54x	3.43x
Receivables Turnover	20.53x	26.02x	22.25x	19.19x	18.74x
Days Inventory Outstanding	96	100	101	103	107
Days Sales Outstanding	18	14	16	19	19
Fixed Asset Turnover	1.01x	0.99x	1.00x	1.08x	1.16x
Total Asset Turnover	0.40x	0.44x	0.45x	0.49x	0.47x
Debt Ratio	27.61%	30.50%	35.53%	36.86%	34.05%
Debt-to-Equity Ratio	0.09x	0.12x	0.15x	0.14x	0.10x
Total Debt-to-Total Capital	8.48%	10.82%	13.28%	12.10%	9.06%
Times Interest Earned	52.04x	55.30x	19.42x	27.52x	36.69x
Gross Profit Margin	30.12%	27.81%	27.19%	33.65%	34.28%
Operating Margin	27.53%	26.90%	23.48%	37.24%	39.07%

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Net Profit Margin	22.35%	18.87%	14.32%	24.37%	26.58%
Return on Assets	9.00%	8.27%	6.44%	12.01%	12.41%
Return on Equity	12.43%	11.90%	9.99%	19.02%	18.81%
Return on Invested Capital	11.60%	10.81%	9.14%	17.35%	17.59%
Basic Earning Power	11.08%	11.79%	10.56%	18.35%	18.24%
Earnings per Share	43.51	47.31	43.06	94.54	22.59
Book Value per Share	350.06	397.50	440.50	504.30	120.08
Price-to-Earnings	19.84x	9.70x	12.12x	9.59x	15.73x
Market-to-Book	2.47x	1.15x	1.19x	1.80x	2.96x
Dividend Yield	0.00%	0.00%	3.45%	1.65%	1.13%
Enterprise Value/EBITDA	12.53x	5.64x	5.69x	5.18x	8.53x

Source: cleaned submission, LUCK ratio rows 111-141. Units: margins/returns/debt ratios and yield are percentages; turnover/valuation multiples are x; days are whole days; NWC is PKR million; EPS/BVPS are PKR per share. n/m follows Section 2.6. KOHC debt-derived figures retain the Section 7 qualification.

FY2021 to FY2022

Net sales increased by 28.84% to 81,093.52, while cost of sales increased by 33.10% to 58,541.68. Gross margin moved from 30.12% to 27.81%. PAT changed from 14,070.19 to 15,298.62; net margin moved from 22.35% to 18.87%. Current ratio changed from 1.34 x to 1.48 x as current assets increased by 10.18% and CL decreased by 0.08%. TAT moved from 0.40 x to 0.44 x because total assets increased by 18.29% relative to sales. TIE changed from 52.04 x to 55.30 x: EBIT increased by 25.92%, while expensed interest increased by 18.51%.

The unconsolidated review reports overall sales volume down 8.9%, with export pressure from high coal and shipping costs. Nominal revenue growth must therefore be separated from physical volume. Subsidiary developments in the group narrative are not inserted into parent cement sales.

LUCK FY2022 report PDF p 135.

FY2022 to FY2023

Net sales increased by 18.17% to 95,832.15, while cost of sales increased by 19.18% to 69,771.47. Gross margin moved from 27.81% to 27.19%. PAT changed from 15,298.62 to 13,725.81; net margin moved from 18.87% to 14.32%. Current ratio changed from 1.48 x to 1.29 x as current assets increased by 32.94% and CL increased by 52.10%. TAT moved from 0.44 x to 0.45 x because total assets increased by 15.20% relative to sales. TIE changed from 55.30 x to 19.42 x: EBIT increased by 3.15%, while expensed interest increased by 193.73%.

The unconsolidated review reports volume down 18.8% and discusses inflation, higher rates, floods, lower development spending and volatile energy costs. This establishes a difficult operating setting; the separate finance-cost inputs show the actual interest effect used in our ratios.

LUCK FY2023 report PDF p 140.

FY2023 to FY2024

Net sales increased by 20.34% to 115,324.94, while cost of sales increased by 9.67% to 76,520.37. Gross margin moved from 27.19% to 33.65%. PAT changed from 13,725.81 to 28,106.54; net margin moved from 14.32% to 24.37%. Current ratio changed from 1.29 x to 1.26 x as current assets increased by 14.90% and CL increased by 17.34%. TAT moved from 0.45 x to 0.49 x because total assets increased by 9.83% relative to sales. TIE changed from 19.42 x to 27.52 x: EBIT increased by 90.86%, while expensed interest increased by 34.67%.

Management reports lower international coal/oil prices and increased use of local coal as supports for gross profitability. Investment income also rises markedly in the parent statements, so the PAT recovery cannot be assigned wholly to sales efficiency.

LUCK FY2024 report PDF p 185 and unconsolidated statements.

FY2024 to FY2025

Net sales increased by 7.97% to 124,511.74, while cost of sales increased by 6.94% to 81,827.06. Gross margin moved from 33.65% to 34.28%. PAT changed from 28,106.54 to 33,092.16; net margin moved from 24.37% to 26.58%. Current ratio changed from 1.26 x to 1.71 x as current assets increased by 46.89% and CL increased by 8.22%. TAT moved from 0.49 x to 0.47 x because total assets increased by 13.99% relative to sales. TIE changed from 27.52 x to 36.69 x: EBIT increased by 13.27%, while expensed interest decreased by 15.03%.

Parent cement/clinker sales volume rose 8.1%; exports rose 53.3% while local volumes fell 7.4%. Management also identifies renewable-energy investment as margin support. This is stronger evidence than inferring that the general domestic cement market recovered.

LUCK FY2025 report PDF pp 144-146.

Latest position and comparison with KOHC

In FY2025 current ratio reaches 1.71 x and cash ratio 1.09 x, well above every peer on immediate cash cover. Inventory turnover eases to 3.43 x and DSO rises to 19.47 days. TAT falls to 0.47 x even though FAT rises to 1.16 x, because non-PPE assets grow faster than sales. ROA improves to 12.41%, but ROE slips from 19.02% to 18.81% as equity grows 19.05%, faster than PAT at 17.74%. BEP also edges down because assets grow slightly faster than EBIT.

FY2025 net margin is 26.58% against KOHC 30.84%, ROA is 12.41% against 17.33%, and TAT is 0.47 x against 0.56 x. Their combination explains the ROA comparison more clearly than any one ranking. CFO is 27,572.57; accounting earnings should also be assessed against cash conversion and investment/financing requirements.

The 5-for-1 split makes raw FY2024 EPS of PKR 94.54 and FY2025 EPS 22.59 look like a fall. On a common post-split unit, FY2024 EPS is 18.91 and FY2025 is 22.59, an increase of 19.46%. FY2024 price 906.73 similarly becomes 181.346 only for an explanatory common-unit comparison; the official historic price input is not replaced. P/E rises from 9.59 x to 15.73 x because comparable price rises more than earnings. The split does not itself create economic profit. FY2025 other income of 20,465.921 is material to parent profitability.

LUCK FY2025 audited parent statements and notes; FY2025 report PDF pp 144-146.

5.2 D G Khan Cement

DGKC moves from weak working capital and a large FY2023 tax-affected loss to a stronger FY2025 recovery. Its history demonstrates that a positive gross profit or EBIT does not guarantee positive net income after financing and deferred tax.

Table 8 DGKC selected financial inputs in PKR million

Input	FY2021	FY2022	FY2023	FY2024	FY2025
Net sales	45,107.69	58,043.86	64,983.82	66,038.69	71,892.84
Cost of sales magnitude	37,035.80	47,615.55	55,428.05	55,510.43	53,387.17
Gross profit	8,071.89	10,428.31	9,555.78	10,528.26	18,505.67
PAT	3,721.27	2,972.13	-3,635.98	542.40	8,675.06
Total assets	137,894.70	136,562.01	134,713.25	138,385.75	145,924.23
Common equity	73,477.87	69,918.10	64,192.28	75,847.54	94,667.48
Model IBD	43,792.82	46,475.90	42,528.28	34,321.81	21,907.10
Expensed interest	2,886.11	3,544.66	6,703.80	7,924.98	3,816.74
CFO	6,161.19	-3,932.48	6,504.23	6,029.55	10,034.13

Source: current DGKC company-sheet statements. Model IBD is shown as recorded, with the known KOHC classification qualification retained.

Table 9 DGKC financial measures

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Current Ratio	0.91x	0.89x	0.80x	1.30x	1.85x
Quick Ratio	0.53x	0.39x	0.33x	0.67x	1.06x
Cash Ratio	0.02x	0.01x	0.01x	0.02x	0.05x
Net Working Capital	n/m	n/m	n/m	9,544.80	21,997.12
Inventory Turnover	2.63x	2.48x	2.44x	2.58x	2.62x
Receivables Turnover	22.77x	36.92x	48.84x	64.45x	61.22x
Days Inventory Outstanding	139	147	150	141	139
Days Sales Outstanding	16	10	7	6	6
Fixed Asset Turnover	0.53x	0.70x	0.79x	0.83x	0.93x
Total Asset Turnover	0.33x	0.43x	0.48x	0.48x	0.49x
Debt Ratio	46.71%	48.80%	52.35%	45.19%	35.13%
Debt-to-Equity Ratio	0.60x	0.66x	0.66x	0.45x	0.23x
Total Debt-to-Total Capital	37.34%	39.93%	39.85%	31.15%	18.79%
Times Interest Earned	2.65x	2.70x	1.47x	1.36x	4.41x
Gross Profit Margin	17.89%	17.97%	14.70%	15.94%	25.74%
Operating Margin	16.98%	16.48%	15.18%	16.30%	23.40%
Net Profit Margin	8.25%	5.12%	n/m	0.82%	12.07%
Return on Assets	2.70%	2.18%	n/m	0.39%	5.94%

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Return on Equity	5.06%	4.25%	n/m	0.72%	9.16%
Return on Invested Capital	5.09%	4.06%	n/m	1.87%	9.63%
Basic Earning Power	5.55%	7.00%	7.32%	7.78%	11.53%
Earnings per Share	8.49	6.78	n/m	1.24	19.80
Book Value per Share	167.71	159.59	146.52	173.12	216.08
Price-to-Earnings	13.88x	9.21x	n/m	72.92x	8.36x
Market-to-Book	0.70x	0.39x	0.35x	0.52x	0.77x
Dividend Yield	0.85%	1.60%	0.00%	0.00%	1.21%
Enterprise Value/EBITDA	8.47x	5.52x	4.78x	5.09x	4.52x

Source: cleaned submission, DGKC ratio rows 111-141. Units: margins/returns/debt ratios and yield are percentages; turnover/valuation multiples are x; days are whole days; NWC is PKR million; EPS/BVPS are PKR per share. n/m follows Section 2.6. KOHC debt-derived figures retain the Section 7 qualification.

FY2021 to FY2022

Net sales increased by 28.68% to 58,043.86, while cost of sales increased by 28.57% to 47,615.55. Gross margin moved from 17.89% to 17.97%. PAT changed from 3,721.27 to 2,972.13; net margin moved from 8.25% to 5.12%. Current ratio changed from 0.91 x to 0.89 x as current assets increased by 10.75% and CL increased by 14.38%. TAT moved from 0.33 x to 0.43 x because total assets decreased by 0.97% relative to sales. TIE changed from 2.65 x to 2.70 x: EBIT increased by 24.90%, while expensed interest increased by 22.82%.

The operations review describes high coal/furnace-oil costs and limited economic use of captive generation, despite added capacity, alongside alternative-fuel measures. Its clinker output increased while cement output fell, showing why production mix matters.

DGKC FY2022 report PDF p 100.

FY2022 to FY2023

Net sales increased by 11.96% to 64,983.82, while cost of sales increased by 16.41% to 55,428.05. Gross margin moved from 17.97% to 14.70%. PAT changed from 2,972.13 to -3,635.98; net margin moved from 5.12% to n/m. Current ratio changed from 0.89 x to 0.80 x as current assets decreased by 4.38% and CL increased by 5.61%. TAT moved from 0.43 x to 0.48 x because total assets decreased by 1.35% relative to sales. TIE changed from 2.70 x to 1.47 x: EBIT increased by 3.16%, while expensed interest increased by 89.12%.

The performance review attributes weaker pre-tax profitability to high financing costs and incomplete pass-through of inflation, and the net loss to deferred taxation, super tax and expiring credits. This supports retaining the actual tax effect rather than assuming the loss proves an operating cash loss.

DGKC FY2023 report PDF p 105.

FY2023 to FY2024

Net sales increased by 1.62% to 66,038.69, while cost of sales increased by 0.15% to 55,510.43. Gross margin moved from 14.70% to 15.94%. PAT changed from -3,635.98 to 542.40; net margin moved from n/m to 0.82%. Current ratio changed from 0.80 x to 1.30 x as current assets increased by 7.03% and CL decreased by 33.80%. TAT moved from 0.48 x to 0.48 x because total assets increased by 2.73% relative to sales. TIE changed from 1.47 x to 1.36 x: EBIT increased by 9.10%, while expensed interest increased by 18.22%.

The company reports under-utilized capacity, inflationary cost pressure and high financing costs despite sales and gross-profit growth. Profit remains small after tax, so a very high P/E in this year is partly an earnings-denominator effect.

DGKC FY2024 report PDF p 105.

FY2024 to FY2025

Net sales increased by 8.86% to 71,892.84, while cost of sales decreased by 3.82% to 53,387.17. Gross margin moved from 15.94% to 25.74%. PAT changed from 542.40 to 8,675.06; net margin moved from 0.82% to 12.07%. Current ratio changed from 1.30 x to 1.85 x as current assets increased by 14.69% and CL decreased by 19.60%. TAT moved from 0.48 x to 0.49 x because total assets increased by 5.45% relative to sales. TIE changed from 1.36 x to 4.41 x: EBIT increased by 56.28%, while expensed interest decreased by 51.84%.

Directors describe higher export-supported utilization, changes in the coal mix and alternative fuels, with lower finance costs after rate reductions. This supports the recovery in both operating margin and interest cover, without assigning the whole earnings recovery to one factor.

DGKC FY2025 report PDF p 105.

Latest position and comparison with KOHC

The FY2025 current ratio of 1.85 x and quick ratio of 1.06 x show improved balance-sheet cover, although cash ratio remains only 0.05 x. IBD falls 36.17% and interest falls 51.84%, materially strengthening TIE to 4.41 x. Inventory turnover improves to 2.62 x, while DSO of 5.96 days is lowest in the sample. Its high receivable turnover can also reflect the use of total net sales as a credit-sales proxy, so it should not be taken as proof of universally superior credit policy.

FY2025 net margin is 12.07% against KOHC 30.84%, ROA is 5.94% against 17.33%, and TAT is 0.49 x against 0.56 x. Their combination explains the ROA comparison more clearly than any one ranking. CFO is 10,034.13; accounting earnings should also be assessed against cash conversion and investment/financing requirements.

PAT rises from only 542.396 to 8,675.059, an increase of 1,499.40%. The large percentage reflects a low base and should not be interpreted as the same growth rate being sustainable. EPS recovery compresses P/E from 72.92 x to 8.36 x while the share price rises from 90.27 to 165.56. The multiple falls because earnings rise faster, not because market price falls. The unresolved FY2021 published cash ratio remains a source-methodology qualification.

DGKC FY2025 audited parent statements and notes; FY2025 report PDF p 105.

5.3 Maple Leaf Cement

Maple Leaf combines cement operations, investment assets and subsidiary returns in its standalone statements. Its FY2025 earnings improve sharply, but the increase must be separated into core operations, subsidiary dividends and investment gains.

Table 10 MLCF selected financial inputs in PKR million

Input	FY2021	FY2022	FY2023	FY2024	FY2025
Net sales	35,538.30	48,519.62	62,075.26	66,452.35	68,942.45
Cost of sales magnitude	28,135.42	36,244.16	43,901.91	45,488.06	45,195.63
Gross profit	7,402.88	12,275.47	18,173.35	20,964.28	23,746.82
PAT	6,254.11	3,626.34	4,491.67	5,272.53	17,036.37
Total assets	66,239.28	82,214.21	89,707.71	99,365.68	119,106.27
Common equity	37,542.54	40,559.01	44,913.11	52,615.91	71,461.59
Model IBD	16,235.48	24,973.71	19,874.40	19,387.38	14,580.07
Expensed interest	1,447.28	1,690.03	2,683.18	4,055.42	3,413.95
CFO	6,551.97	8,330.11	20,143.67	9,496.24	19,316.64

Source: current MLCF company-sheet statements. Model IBD is shown as recorded, with the known KOHC classification qualification retained.

Table 11 MLCF financial measures

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Current Ratio	1.48x	1.25x	1.37x	1.44x	1.53x
Quick Ratio	0.44x	0.29x	0.52x	0.61x	0.81x
Cash Ratio	0.04x	0.05x	0.05x	0.07x	0.07x
Net Working Capital	5,473.97	4,128.60	6,024.65	8,270.04	12,422.11
Inventory Turnover	2.55x	2.64x	2.99x	3.10x	2.79x
Receivables Turnover	15.02x	25.91x	26.60x	19.57x	15.67x
Days Inventory Outstanding	143	138	122	118	131
Days Sales Outstanding	24	14	14	19	23
Fixed Asset Turnover	0.80x	0.85x	1.00x	1.01x	1.10x
Total Asset Turnover	0.54x	0.59x	0.69x	0.67x	0.58x
Debt Ratio	43.32%	50.67%	49.93%	47.05%	40.00%
Debt-to-Equity Ratio	0.43x	0.62x	0.44x	0.37x	0.20x
Total Debt-to-Total Capital	30.19%	38.11%	30.68%	26.93%	16.95%
Times Interest Earned	6.04x	5.25x	4.45x	3.20x	7.35x
Gross Profit Margin	20.83%	25.30%	29.28%	31.55%	34.44%
Operating Margin	24.58%	18.29%	19.22%	19.54%	36.38%
Net Profit Margin	17.60%	7.47%	7.24%	7.93%	24.71%
Return on Assets	9.44%	4.41%	5.01%	5.31%	14.30%

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Return on Equity	16.66%	8.94%	10.00%	10.02%	23.84%
Return on Invested Capital	13.94%	6.84%	8.94%	10.65%	22.92%
Basic Earning Power	13.19%	10.79%	13.30%	13.07%	21.06%
Earnings per Share	5.69	3.30	4.18	4.98	16.26
Book Value per Share	34.18	37.56	41.84	50.23	68.22
Price-to-Earnings	8.25x	8.28x	6.77x	7.63x	5.18x
Market-to-Book	1.37x	0.73x	0.68x	0.76x	1.24x
Dividend Yield	0.00%	0.00%	0.00%	0.00%	0.00%
Enterprise Value/EBITDA	5.62x	4.49x	3.27x	3.35x	3.44x

Source: cleaned submission, MLCF ratio rows 111-141. Units: margins/returns/debt ratios and yield are percentages; turnover/valuation multiples are x; days are whole days; NWC is PKR million; EPS/BVPS are PKR per share. n/m follows Section 2.6. KOHC debt-derived figures retain the Section 7 qualification.

FY2021 to FY2022

Net sales increased by 36.53% to 48,519.62, while cost of sales increased by 28.82% to 36,244.16. Gross margin moved from 20.83% to 25.30%. PAT changed from 6,254.11 to 3,626.34; net margin moved from 17.60% to 7.47%. Current ratio changed from 1.48 x to 1.25 x as current assets increased by 20.08% and CL increased by 41.43%. TAT moved from 0.54 x to 0.59 x because total assets increased by 24.12% relative to sales. TIE changed from 6.04 x to 5.25 x: EBIT increased by 1.56%, while expensed interest increased by 16.77%.

The company records completion of waste-heat recovery and 12.5 MW solar projects during the year. These are operating developments, but the workbook PAT movement also reflects the sharp change in other income; one should not infer poor factory performance directly from the net-margin fall.

MLCF FY2022 report PDF p 20 and unconsolidated profit-or-loss statement.

FY2022 to FY2023

Net sales increased by 27.94% to 62,075.26, while cost of sales increased by 21.13% to 43,901.91. Gross margin moved from 25.30% to 29.28%. PAT changed from 3,626.34 to 4,491.67; net margin moved from 7.47% to 7.24%. Current ratio changed from 1.25 x to 1.37 x as current assets increased by 9.44% and CL increased by 0.13%. TAT moved from 0.59 x to 0.69 x because total assets increased by 9.11% relative to sales. TIE changed from 5.25 x to 4.45 x: EBIT increased by 34.49%, while expensed interest increased by 58.77%.

Directors explain improved selling prices, lower domestic volumes and rising fuel/power/packing costs, plus local fuel and captive-energy responses. The same report separates consolidated and unconsolidated highlights. Our numbers follow the unconsolidated table and audited statements.

MLCF FY2023 report PDF p 39.

FY2023 to FY2024

Net sales increased by 7.05% to 66,452.35, while cost of sales increased by 3.61% to 45,488.06. Gross margin moved from 29.28% to 31.55%. PAT changed from 4,491.67 to 5,272.53; net margin moved from 7.24% to 7.93%. Current ratio changed from 1.37 x to 1.44 x as current assets increased by 20.81% and CL increased by 14.69%. TAT moved from 0.69 x to 0.67 x because total assets increased by 10.77% relative to sales. TIE changed from 4.45 x to 3.20 x: EBIT increased by 8.82%, while expensed interest increased by 51.14%.

Directors discuss selling-price support, domestic volume pressure, alternative fuels and captive power. Their business narrative includes consolidated financial figures; the operational explanation is used cautiously while our ratio inputs remain the audited parent figures.

MLCF FY2024 report PDF p 72.

FY2024 to FY2025

Net sales increased by 3.75% to 68,942.45, while cost of sales decreased by 0.64% to 45,195.63. Gross margin moved from 31.55% to 34.44%. PAT changed from 5,272.53 to 17,036.37; net margin moved from 7.93% to 24.71%. Current ratio changed from 1.44 x to 1.53 x as current assets increased by 33.07% and CL increased by 25.45%. TAT moved from 0.67 x to 0.58 x because total assets increased by 19.87% relative to sales. TIE changed from 3.20 x to 7.35 x: EBIT increased by 93.10%, while expensed interest decreased by 15.82%.

Unconsolidated note 39 shows dividend income of 6,660.316, including 6,400.500 from Maple Leaf Power, and unrealized investment gains of 1,693.739. The parent earnings jump therefore includes intra-group distributions and valuation gains alongside improved core operations.

MLCF FY2025 report PDF p 265, note 39.

Latest position and comparison with KOHC

Current ratio reaches 1.53 x, but quick ratio of 0.81 x and cash ratio of 0.07 x show substantial reliance on non-cash current assets. DIO rises from 117.69 to 130.99 days and DSO from 18.65 to 23.29 days. FAT improves to 1.10 x while TAT falls to 0.58 x, as total assets grow faster than sales. ROE reaches 23.84% and ROIC 22.92% on the model definition, close to KOHC, with a material investment-income contribution.

FY2025 net margin is 24.71% against KOHC 30.84%, ROA is 14.30% against 17.33%, and TAT is 0.58 x against 0.56 x. Their combination explains the ROA comparison more clearly than any one ranking. CFO is 19,316.64; accounting earnings should also be assessed against cash conversion and investment/financing requirements.

Other income rises from 238.451 to 8,462.656. Of FY2025 dividend income 6,660.316, Maple Leaf Power contributes 6,400.500. Unrealized investment gains add 1,693.739. In consolidated accounts intra-group dividends are eliminated and the underlying subsidiary performance is consolidated, so group PAT cannot be substituted for the parent numerator. The parent PAT rise of 223.12% is therefore not purely a cement-operating gain. No FY-attributed cash dividends to MLCF ordinary shareholders are recorded across the five years; dividends received from its subsidiary are a different transaction.

MLCF FY2025 audited parent statements and notes; FY2025 report PDF p 265, note 39.

5.4 Fauji Cement

Fauji expands materially during the period, including the Askari merger and new capacity. The resulting assets, debt, depreciation and capitalized interest complicate straight-line five-year comparisons. Its latest recovery improves earnings and working capital but leaves leverage relatively high.

Table 12 FCCL selected financial inputs in PKR million

Input	FY2021	FY2022	FY2023	FY2024	FY2025
Net sales	24,271.28	54,243.12	68,069.28	80,026.23	88,956.33
Cost of sales magnitude	18,206.88	38,779.54	47,650.81	54,345.82	57,384.98
Gross profit	6,064.40	15,463.58	20,418.47	25,680.40	31,571.35
PAT	3,471.35	7,112.54	7,439.68	8,223.12	13,326.20
Total assets	34,052.23	113,698.08	138,828.50	147,636.30	160,845.19
Common equity	23,275.67	57,736.06	65,175.74	73,398.85	84,272.21
Model IBD	2,568.09	25,917.63	40,654.00	36,589.75	40,036.47
Expensed interest	92.11	995.22	2,624.81	5,523.74	5,674.28
CFO	5,739.10	7,567.56	16,031.00	22,284.61	24,313.21

Source: current FCCL company-sheet statements. Model IBD is shown as recorded, with the known KOHC classification qualification retained.

Table 13 FCCL financial measures

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Current Ratio	2.02x	1.06x	0.81x	0.96x	1.32x
Quick Ratio	1.14x	0.47x	0.28x	0.34x	0.68x
Cash Ratio	0.15x	0.09x	0.03x	0.11x	0.08x
Net Working Capital	6,276.74	1,495.56	n/m	n/m	9,835.07
Inventory Turnover	3.59x	3.68x	3.10x	3.43x	3.16x
Receivables Turnover	19.42x	28.09x	22.75x	17.55x	14.28x
Days Inventory Outstanding	102	99	118	107	115
Days Sales Outstanding	19	13	16	21	26
Fixed Asset Turnover	1.13x	0.73x	0.65x	0.72x	0.81x
Total Asset Turnover	0.71x	0.48x	0.49x	0.54x	0.55x
Debt Ratio	31.65%	49.22%	53.05%	50.28%	47.61%
Debt-to-Equity Ratio	0.11x	0.45x	0.62x	0.50x	0.48x
Total Debt-to-Total Capital	9.94%	30.98%	38.41%	33.27%	32.21%
Times Interest Earned	56.45x	12.58x	5.91x	3.78x	4.79x
Gross Profit Margin	24.99%	28.51%	30.00%	32.09%	35.49%
Operating Margin	21.42%	23.09%	22.81%	26.09%	30.58%
Net Profit Margin	14.30%	13.11%	10.93%	10.28%	14.98%

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Return on Assets	10.19%	6.26%	5.36%	5.57%	8.29%
Return on Equity	14.91%	12.32%	11.41%	11.20%	15.81%
Return on Invested Capital	13.67%	9.24%	8.46%	10.17%	13.55%
Basic Earning Power	15.27%	11.01%	11.18%	14.14%	16.91%
Earnings per Share	2.52	3.26	3.03	3.35	5.43
Book Value per Share	16.87	26.48	26.57	29.92	34.36
Price-to-Earnings	9.14x	4.34x	3.88x	6.83x	8.22x
Market-to-Book	1.36x	0.54x	0.44x	0.77x	1.30x
Dividend Yield	0.00%	0.00%	0.00%	4.36%	2.80%
Enterprise Value/EBITDA	4.91x	4.00x	3.96x	3.90x	4.58x

Source: cleaned submission, FCCL ratio rows 111-141. Units: margins/returns/debt ratios and yield are percentages; turnover/valuation multiples are x; days are whole days; NWC is PKR million; EPS/BVPS are PKR per share. n/m follows Section 2.6. KOHC debt-derived figures retain the Section 7 qualification.

FY2021 to FY2022

Net sales increased by 123.49% to 54,243.12, while cost of sales increased by 112.99% to 38,779.54. Gross margin moved from 24.99% to 28.51%. PAT changed from 3,471.35 to 7,112.54; net margin moved from 14.30% to 13.11%. Current ratio changed from 2.02 x to 1.06 x as current assets increased by 126.85% and CL increased by 333.65%. TAT moved from 0.71 x to 0.48 x because total assets increased by 233.89% relative to sales. TIE changed from 56.45 x to 12.58 x: EBIT increased by 140.84%, while expensed interest increased by 980.45%.

The Askari amalgamation and expansion plans change the scale of the reporting entity. Comparisons with the prior opening balances are consequently not purely like-for-like. The merger is retained as an accounting break rather than replaced with invented pro-forma figures.

FCCL FY2022 report PDF p 60 and amalgamation disclosures retained in Audit.

FY2022 to FY2023

Net sales increased by 25.49% to 68,069.28, while cost of sales increased by 22.88% to 47,650.81. Gross margin moved from 28.51% to 30.00%. PAT changed from 7,112.54 to 7,439.68; net margin moved from 13.11% to 10.93%. Current ratio changed from 1.06 x to 0.81 x as current assets decreased by 18.01% and CL increased by 6.61%. TAT moved from 0.48 x to 0.49 x because total assets increased by 22.10% relative to sales. TIE changed from 12.58 x to 5.91 x: EBIT increased by 23.97%, while expensed interest increased by 163.74%.

Directors describe higher prices, substantially higher per-ton production costs, local coal/captive-power mitigation and financing costs affected by rates, expansion debt and exchange losses. Exchange loss in total finance cost is not automatically expensed interest for TIE.

FCCL FY2023 report PDF p 93.

FY2023 to FY2024

Net sales increased by 17.57% to 80,026.23, while cost of sales increased by 14.05% to 54,345.82. Gross margin moved from 30.00% to 32.09%. PAT changed from 7,439.68 to 8,223.12; net margin moved from 10.93% to 10.28%. Current ratio changed from 0.81 x to 0.96 x as current assets increased by 11.45% and CL decreased by 5.69%. TAT moved from 0.49 x to 0.54 x because total assets increased by 6.34% relative to sales. TIE changed from 5.91 x to 3.78 x: EBIT increased by 34.49%, while expensed interest increased by 110.44%.

The new DG Khan line expanded market reach while tariffs/input costs rose. Directors identify pricing and cost optimization as margin supports and a deferred-tax charge following the export-tax regime change. Earnings and assets therefore reflect both business expansion and tax effects.

FCCL FY2024 report PDF p 90.

FY2024 to FY2025

Net sales increased by 11.16% to 88,956.33, while cost of sales increased by 5.59% to 57,384.98. Gross margin moved from 32.09% to 35.49%. PAT changed from 8,223.12 to 13,326.20; net margin moved from 10.28% to 14.98%. Current ratio changed from 0.96 x to 1.32 x as current assets increased by 56.97% and CL increased by 14.04%. TAT moved from 0.54 x to 0.55 x because total assets increased by 8.95% relative to sales. TIE changed from 3.78 x to 4.79 x: EBIT increased by 30.28%, while expensed interest increased by 2.73%.

Cement dispatches increased from 5.08 m to 5.37 m tonnes. Directors attribute margins to higher prices, coal/fuel choices and captive generation. They also explain why lower overall financing costs do not imply a lower P&L interest charge: prior-year borrowing costs were capitalized during construction.

FCCL FY2025 report PDF pp 96-98.

Latest position and comparison with KOHC

Current ratio rises from 0.96 x to 1.32 x as CA grows 56.97%, faster than CL at 14.04%. Signed NWC moves from a deficit to positive 9,835.068. Quick ratio remains 0.68 x. IBD rises 9.42%, but equity rises 14.81%, so D/E falls to 0.48 x without an absolute reduction in model debt. TIE improves from 3.78 x to 4.79 x because EBIT rises 30.28%, much faster than expensed interest at 2.73%. DIO and DSO both lengthen, qualifying the liquidity recovery.

FY2025 net margin is 14.98% against KOHC 30.84%, ROA is 8.29% against 17.33%, and TAT is 0.55 x against 0.56 x. Their combination explains the ROA comparison more clearly than any one ranking. CFO is 24,313.21; accounting earnings should also be assessed against cash conversion and investment/financing requirements.

FY2025 gross margin reaches 35.49%, above the sample mean 33.84%, while TAT remains 0.55 x. Debt Ratio 47.61% and D/E 0.48 x are the highest in the sample. The reported borrowing-cost capitalization distinction explains why declining market interest rates do not guarantee a falling expensed-interest denominator. Management reports more coal stock at year-end, which supports examining inventory composition alongside the average-balance DIO movement. FY2025 DPS 1.25 gives 2.80% yield, the highest in the sample.

FCCL FY2025 audited parent statements and notes; FY2025 report PDF pp 96-98.

6 Five company sample comparison

Table 14 Five-year arithmetic sample means

Measure	FY2021	FY2022	FY2023	FY2024	FY2025
Current Ratio	1.41x	1.31x	1.32x	1.57x	1.95x
Quick Ratio	0.75x	0.66x	0.71x	0.94x	1.30x
Cash Ratio	0.20x	0.14x	0.15x	0.18x	0.28x
Net Working Capital	6,079.14	7,091.58	10,807.10	13,298.80	22,622.67
Inventory Turnover	3.49x	3.43x	3.28x	3.25x	3.00x
Receivables Turnover	22.06x	30.31x	31.43x	28.82x	25.93x
Days Inventory Outstanding	111	112	115	114	123
Days Sales Outstanding	18	12	13	16	19
Fixed Asset Turnover	0.91x	0.96x	1.04x	1.08x	1.12x
Total Asset Turnover	0.53x	0.54x	0.58x	0.57x	0.53x
Debt Ratio	37.54%	43.27%	45.01%	41.91%	37.00%
Debt-to-Equity Ratio	0.30x	0.40x	0.40x	0.30x	0.21x
Total Debt-to-Total Capital	21.47%	26.67%	26.22%	21.69%	16.30%
Times Interest Earned	25.63x	18.83x	9.51x	11.64x	22.44x
Gross Profit Margin	23.72%	25.89%	25.60%	28.47%	33.84%
Operating Margin	22.57%	22.69%	21.87%	27.30%	35.50%
Net Profit Margin	15.41%	11.97%	11.86%	13.28%	21.83%
Return on Assets	8.20%	6.54%	7.14%	7.68%	11.65%
Return on Equity	12.96%	11.17%	12.31%	12.52%	18.35%
Return on Invested Capital	11.58%	9.56%	10.97%	12.31%	17.43%
Basic Earning Power	12.00%	12.48%	12.98%	15.57%	18.95%
Earnings per Share	15.53	17.13	19.81	29.88	24.79
Book Value per Share	135.89	151.35	163.56	193.47	139.91
Price-to-Earnings	12.60x	7.35x	7.19x	20.50x	8.77x
Market-to-Book	1.55x	0.75x	0.74x	1.01x	1.54x
Dividend Yield	0.17%	0.32%	0.69%	1.20%	1.03%
Enterprise Value/EBITDA	7.71x	4.50x	4.15x	4.15x	4.95x

Source: Industry Averages, 27 formula-driven sample means for each year. n/m exclusions apply: NWC has four, four, three, four and five valid firms in FY2021-FY2025. In FY2023 DGKC loss/negative-NOPAT exclusions also affect earnings-based measures. EPS/BVPS means cross different share units and are descriptive only.

Table 15 FY2025 company and sample comparison

Measure	KOHC	LUCK	DGKC	MLCF	FCCL	Mean
Current Ratio	3.31x	1.71x	1.85x	1.53x	1.32x	1.95x
Quick Ratio	2.67x	1.29x	1.06x	0.81x	0.68x	1.30x

Measure	KOHC	LUCK	DGKC	MLCF	FCCL	Mean
Cash Ratio	0.12x	1.09x	0.05x	0.07x	0.08x	0.28x
Net Working Capital	26,953.09	41,905.98	21,997.12	12,422.11	9,835.07	22,622.67
Inventory Turnover	3.02x	3.43x	2.62x	2.79x	3.16x	3.00x
Receivables Turnover	19.74x	18.74x	61.22x	15.67x	14.28x	25.93x
Days Inventory Outstanding	121	107	139	131	115	123
Days Sales Outstanding	18	19	6	23	26	19
Fixed Asset Turnover	1.61x	1.16x	0.93x	1.10x	0.81x	1.12x
Total Asset Turnover	0.56x	0.47x	0.49x	0.58x	0.55x	0.53x
Debt Ratio	28.20%	34.05%	35.13%	40.00%	47.61%	37.00%
Debt-to-Equity Ratio	0.05x	0.10x	0.23x	0.20x	0.48x	0.21x
Total Debt-to-Total Capital	4.47%	9.06%	18.79%	16.95%	32.21%	16.30%
Times Interest Earned	58.96x	36.69x	4.41x	7.35x	4.79x	22.44x
Gross Profit Margin	39.22%	34.28%	25.74%	34.44%	35.49%	33.84%
Operating Margin	48.10%	39.07%	23.40%	36.38%	30.58%	35.50%
Net Profit Margin	30.84%	26.58%	12.07%	24.71%	14.98%	21.83%
Return on Assets	17.33%	12.41%	5.94%	14.30%	8.29%	11.65%
Return on Equity	24.14%	18.81%	9.16%	23.84%	15.81%	18.35%
Return on Invested Capital	23.46%	17.59%	9.63%	22.92%	13.55%	17.43%
Basic Earning Power	27.03%	18.24%	11.53%	21.06%	16.91%	18.95%
Earnings per Share	59.84	22.59	19.80	16.26	5.43	24.79
Book Value per Share	260.82	120.08	216.08	68.22	34.36	139.91
Price-to-Earnings	6.34x	15.73x	8.36x	5.18x	8.22x	8.77x
Market-to-Book	1.45x	2.96x	0.77x	1.24x	1.30x	1.54x
Dividend Yield	0.00%	1.13%	1.21%	0.00%	2.80%	1.03%
Enterprise Value/EBITDA	3.65x	8.53x	4.52x	3.44x	4.58x	4.95x

Source: current ratio tables and Industry Averages. KOHC debt, debt-to-capital and ROIC figures reproduce the unchanged model and retain the classification qualification. All other differences are interpreted using the common stated method.

6.1 Liquidity and working capital

The sample current ratio moves from 1.41 x in FY2021 to 1.95 x in FY2025, after weaker FY2022-FY2023 levels. Quick ratio rises from 0.75 x to 1.30 x. All five improve current and quick cover in the latest year. KOHC leads FY2025 at 3.31 x and 2.67 x; DGKC and LUCK also exceed 1 x on quick cover, while MLCF and FCCL remain below it. The class illustrative 2 x current and 1 x quick references are useful screening points, not official cement-industry standards or automatic solvency tests.

Cash tells a different story. Lucky 1.09 x pulls the FY2025 mean to 0.28 x; KOHC 0.12 x is below that mean but second-highest among the five. A simple below-average label would conceal the outlier. NWC averages also change membership: negative DGKC and FCCL observations are displayed as n/m

and excluded. The FY2025 five-company mean cannot be compared with an earlier reduced-sample mean as if composition were unchanged.

6.2 Inventory collection and asset use

Sample inventory turnover falls from 3.49 x to 3.00 x over the endpoints and DIO rises from about 111 to 123 days. These are separate averages of company ratios, so mean DIO is not 365 divided by mean turnover. LUCK has the fastest FY2025 inventory turnover 3.43 x/107 days; DGKC the slowest 2.62 x/139 days, although DGKC alone improves its inventory turnover in the latest year. KOHC 121 days is close to the 123-day mean after a sustained deterioration from 75 days.

All five show lower receivable turnover and higher DSO in FY2025 than FY2024. DGKC has the lowest latest DSO at 5.96 days, followed by KOHC 18.49, LUCK 19.47, MLCF 23.29 and FCCL 25.56. Net sales proxy credit sales, and company cash/credit mixes can influence these results. Strong collection ratios should therefore be checked against customer allowances and payment terms rather than interpreted as a complete credit-risk assessment.

KOHC has the highest FY2025 FAT 1.61 x, compared with a 1.12 x mean. MLCF has the highest TAT 0.58 x, marginally above KOHC 0.56 x. LUCK 0.47 x has the lowest TAT despite its larger sales because its standalone balance sheet also carries substantial investment assets. All peers improve FAT in the latest year while KOHC falls; KOHC, LUCK and MLCF have lower TAT as assets outgrow sales. Different plant ages, CWIP and revaluations limit a simple efficiency ranking.

6.3 Financing and coverage

The latest sample Debt Ratio falls from 41.91% to 37.00%, and D/E from 0.30 x to 0.21 x. Every firm reports lower leverage ratios in FY2025, but KOHC and FCCL model IBD rise in absolute terms. Equity and asset growth explain why a lower percentage does not necessarily mean debt repayment. FCCL retains the highest D/E 0.48 x and debt-to-capital 32.21%; KOHC has the lowest recorded ratios, subject to the small mark-up qualification.

TIE improves at all five companies. KOHC 58.96 x and LUCK 36.69 x are well above DGKC 4.41 x, MLCF 7.35 x and FCCL 4.79 x. The sample mean 22.44 x reflects this wide dispersion. All are above the class 3 x screening reference in FY2025, yet coverage is accounting earnings relative to expensed interest, not proof of cash available to repay principal. Company borrowing structure, capitalization and non-interest finance charges remain important.

6.4 Profitability returns and earnings quality

FY2025 gross, EBIT and net margins rise at every company. KOHC has the highest gross 39.22%, EBIT 48.10% and net 30.84% margins. LUCK has the next-highest net margin 26.58%, followed by MLCF 24.71% after its subsidiary-dividend and investment-gain increase. KOHC leads ROA 17.33%, ROE 24.14%, ROIC 23.46% and BEP 27.03% on the current model. MLCF ROE 23.84% is close, with a different earnings composition. The ROIC comparison retains the stated tax/capital conventions and KOHC classification caveat.

This leadership is not universal across the period. MLCF FY2021 net margin is 17.60% against KOHC 14.54%, while LUCK FY2021 net margin is 22.35%. Returns depend on both margin and turnover; high book equity can lower ROE even in a profitable year. LUCK illustrates this in FY2025: PAT grows

but ROE declines because equity grows faster. DGKC illustrates the tax boundary: positive operating earnings coexist with a FY2023 after-tax loss and n/m returns.

6.5 Market valuation and distributions

The mean P/E falls from 20.50 x in FY2024 to 8.77 x in FY2025, heavily influenced by DGKC falling from 72.92 x to 8.36 x as EPS recovers. KOHC, LUCK and FCCL P/E rise over the same interval. A falling mean is therefore not evidence that every company became cheaper. In FY2025 LUCK has the highest P/E15.73 x and M/B2.96 x; MLCF the lowest P/E5.18 x. DGKC trades below book at 0.77 x, while the others trade above it. Book revaluations and investment gains affect these comparisons.

FY2025 EV/EBITDA is 3.65 x for KOHC,8.53 x for LUCK,4.52 x for DGKC,3.44 x for MLCF and 4.58 x for FCCL, against a 4.95 x mean. Lower multiples can reflect stronger recent earnings, growth concerns or different asset/claim structures. The EBITDA definition includes other income and ignores capital replacement and working-capital requirements. These values alone do not establish an investment recommendation or a fair-value target.

Table 16 Financial-year cash DPS in PKR per share

Company	FY2021	FY2022	FY2023	FY2024	FY2025
KOHC	0.00	0.00	0.00	0.00	0.00
LUCK	0.00	0.00	18.00	15.00	4.00
DGKC	1.00	1.00	0.00	0.00	2.00
MLCF	0.00	0.00	0.00	0.00	0.00
FCCL	0.00	0.00	0.00	1.00	1.25

The 17 genuine zero-yield observations are KOHC and MLCF in all five years; LUCK FY2021-FY2022; DGKC FY2023-FY2024; and FCCL FY2021-FY2023. The FY2025 sample yield 1.03% includes KOHC and MLCF zeros. FCCL yield falls from 4.36% to 2.80% although DPS rises 25%, because price rises 94.98%. LUCK yield similarly falls as its split-compatible price rises faster than DPS. Zero payout can reflect reinvestment or financing priorities, while a high yield can partly reflect a lower market price.

6.6 Shared trends and the wider operating environment

The five-company evidence suggests better latest margins and coverage alongside slower receivable collection, rather than an across-the-board improvement in every financial dimension. Company directors report weak domestic demand and stronger export opportunities, with different exposure across firms. KOHC volumes decline while LUCK export-led volumes and FCCL dispatches rise. We therefore do not assign a single demand explanation to all sales movements.

Independent official context supports the financing and demand discussion. SBP retained its policy rate at 11% on 16 June 2025 after earlier easing; that is context for lower floating-rate costs, not proof that every company interest charge fell. APCMA reported total FY2023 dispatches down 15.71%. Its national dispatch measure is distinct from our arithmetic ratio sample. Exact FY2025 national tonnage differs among company report vintages, so those national totals are not substituted into workbook inputs or treated as an agreed precision benchmark.

Sources: SBP Monetary Policy Statement, 16 June 2025; APCMA June 2023 press release (official URLs in Section 9). Company demand/energy explanations use the annual-report pages cited in Sections 4-5.

7 Published ratio differences and limitations

7.1 What the current audit establishes

The current Audit 27 Published sheet contains 455 comparisons:437 numerical reconstructions and 18 marked Not reproduced. The 18 comprise eight established FCCL turnover-table inconsistencies and ten observations whose exact published basis remains unconfirmed. Numerical reproduction demonstrates arithmetic compatibility with a candidate convention at the printed precision; it does not prove an expressly disclosed issuer formula. Archived 33/36-measure work and the historical 63-case investigation remain supporting records, not the current selected scope.

Table 17 Current qualified published comparisons

Group	Count	Treatment
FCCL asset turnover FY2022-FY2025	8	Audited sales/assets retained; official table conflicts with its own DuPont information
FCCL P/E FY2021-FY2025	5	Official year-end PSX close and compatible EPS retained; issuer price basis unconfirmed
FCCL DSO FY2023-FY2025	3	Average net trade receivables/net sales retained; exact issuer method unconfirmed
FCCL FY2025 TIE	1	4.79x model versus4.84x published; no fabricated denominator adjustment
DGKC FY2021 cash ratio	1	Audited available cash classification retained; published0.33x not explained

Balance timing explains many published differences: closing inventory/receivables can differ from the selected average, and operating PPE differs from total net PPE including CWIP. Definitions also matter: stores plus stock differ from stock alone; related operating supplier balances differ from financing; cash-equivalent notes differ from a statement-face cash label. These alternatives are reconstructed separately while the standardized selected method remains unchanged.

Earnings and market conventions explain other groups. Lucky published ROE is numerically reproduced using comprehensive income, whereas we use net income. Full finance cost can include non-interest charges. MLCF freight reclassification affects gross margin without changing operating profit. Retrospective summaries can revise historical classifications or per-share units. Published P/E can use a different price or EPS basis, but an unconfirmed price convention remains unknown. An isolated numerical fit is insufficient justification for changing a historical PSX close.

Source notes sometimes contain stale wording from earlier versions. In particular, some archived audit prose refers to average assets even though the final company formulas use closing assets. The final formulas and the convention schedule in Section 2 control the submitted calculations. No claim that every older annotation describes the current selection is made. Those records remain unchanged during this cleanup.

7.2 KOHC principal debt classification qualification

KOHC FY2025 audited note 11, PDF p 93, reports short-term borrowings of 3.704884 with nil facility utilization and identifies the amount as outstanding mark-up. The FY2024 comparative 0.061253 is

also mark-up with nil utilization. The current model subtracts embedded long-term-financing mark-up in row 149 but retains these short-term amounts in row 41 and therefore in IBD row 55. This is an implementation/classification issue, distinct from a company-published convention difference.

For FY2025, current IBD is 2,242.621544. Excluding the identified short-term mark-up would give 2,238.916660. D/E would be 0.046688 x instead of 0.046765 x, still displaying 0.05 x. Debt-to-Capital would display 4.46% rather than 4.47%, and the ROIC denominator would also change slightly. EV should reclassify the amount to other financing claims at the same time; a correct reclassification can leave total EV unchanged. This is an explanatory sensitivity, not a replacement set of submitted results.

The presentation revision preserves every financial input and formula, as requested. A final principal-only correction would need consistent review of relevant borrowing-note components across affected years/companies and an explicit calculation change record. The unchanged debt-derived values are qualified here and in Overview; this workbook should not be described as financially error-free or unconditionally ready while the issue remains. The 18 published-ratio qualifications remain a separate count and are not replaced by this finding.

KOHC Annual Report 2025, PDF p 93 note 11 and PDF p 89 note 6.1. Current KOHC rows 31,41,42,55,148-149 and EV workings. The official 1-rupee FY2020 footing issue is separate and immaterial; no balancing plug was inserted.

7.3 Other limits affecting the conclusions

LUCK FY2020 deferred tax follows note 24.2 rather than the statement-face 0.400 m discrepancy, and FY2021 D&A includes 10.653 m amortization. DGKC FY2023 retains the actual 214.97% ETR and signed loss/NOPAT. FCCL merger and capitalization changes limit simple period comparisons. MLCF investment income, revaluations and freight presentation affect margins and asset bases. These factors are documented rather than removed through company-specific shortcuts.

Historical cost, revaluation, plant age, investment structures and inflation affect book-asset comparisons. Year-end data can conceal seasonal cash pressure. Net sales proxy credit sales. Average-balance calculations use only two dates. Other income is not necessarily recurring cement-operating earnings. No WACC is estimated here, so a high ROIC alone is not proof that economic value exceeds the cost of capital. The ratios are historical diagnostic tools, not forecasts.

8 Findings and recommendations

8.1 Financial strengths

KOHC combines high balance-sheet liquidity with strong FY2025 margins and interest cover. Its profit recovery is supported by lower cost of sales, energy/fuel measures and other income, while CFO strengthens. The sample more broadly shows improved latest-year margins and coverage. LUCK provides strong immediate cash cover, DGKC reduces financing exposure during recovery, MLCF generates high parent returns, and FCCL restores positive working capital while expanding earnings.

8.2 Financial weaknesses

KOHC inventory turnover has weakened over the five years and receivable days rise in the latest period. Asset turnover falls as its asset base grows faster than sales. The gap between strong EBIT margin and lower core operating margin requires care over earnings quality. Dividend yield is zero despite high profit. Across the sample, slower collection, uneven cash availability, investment-income effects and different expansion stages limit a single performance ranking. FCCL retains the greatest leverage and MLCF/KOHC parent profits include material non-cement income.

8.3 Actions supported by the findings

Over the next 12 months, KOHC should track inventory categories and rolling stock consumption, rather than set a turnover target based only on cost inflation. Rising average receivables warrant collection-ageing and credit-term review even though the latest closing balance falls. Cash planning should distinguish spendable equivalents, market investments and committed project funding. Dividend communication should explain the difference between FY-attributed dividends, old-liability settlements and buybacks.

Longer-term capital allocation should compare expected project cash returns with their financing and operating costs. The coal-fired project under construction should be assessed on delivered savings after commissioning, and surplus investment returns should be distinguished from recurring cement margins. A clear earnings bridge and cash-flow review make this more defensible than adopting the highest historical margin as a forecast. Before final submission, the identified short-term-mark-up classification needs a controlled correction or an explicit retained qualification; standardized ratios should never be altered merely to match company highlights.

For the peers, Lucky should be assessed on parent cash and investment earnings alongside group developments; DGKC recovery should be judged against sustainable earnings rather than the low-base growth percentage; Maple Leaf needs a separate view of core earnings and subsidiary/investment returns; Fauji needs debt service, working-capital and post-expansion utilization monitoring. These recommendations follow the observed financial patterns and do not imply unsupported valuation targets.

9 References

Annual-report citations identify the report year and PDF page at the point of use. The official landing pages below provide the original company reports; the Audit source registers retain detailed report/PSX URLs and evidence. The 25 FY2021-FY2025 report files and audited FY2020 comparatives remain in the original project source archive.

Brigham, E. F., & Houston, J. F. (2022 copyright). Fundamentals of financial management. Cengage Learning. Chapter 4, especially Table 4.2, printed p 131/PDF p 173 in the supplied edition.

Introduction to Business Finance. (n.d.). Financial ratio analysis project guidelines. Supplied course document. Required ratios PDF p 5; calculation conventions and presentation PDF p 6.

Financial Management. (n.d.). Chapter 04 financial statement analysis [Class PowerPoint slides]. Supplied course materials, slides 2-8.

Kohat Cement Company Limited. (2021, 2022, 2023, 2024, 2025). Annual reports and audited financial statements. https://www.kohatcement.com/financial_reports.aspx

Lucky Cement Limited. (2021, 2022, 2023, 2024, 2025). Annual reports. Unconsolidated financial statements and relevant directors reviews. https://www.lucky-cement.com/investor-relations/downloads/financial-reports/

D. G. Khan Cement Company Limited. (2021, 2022, 2023, 2024, 2025). Annual reports. Unconsolidated financial statements and related notes. https://www.dgcement.com/financial-reports/DGAnnual2025.pdf

Maple Leaf Cement Factory Limited. (2021, 2022, 2023, 2024, 2025). Annual reports. Unconsolidated financial statements and related notes. https://www.kmlg.com/mlcfl/financials/

Fauji Cement Company Limited. (2021, 2022, 2023, 2024, 2025). Annual reports and audited financial statements. https://fccl.com.pk/eng/financial-reports/

Pakistan Stock Exchange. (2021-2025). Official historical trading records and corporate-action disclosures. Source sessions and exact URLs retained in Audit PSX Prices, Price Evidence, Corporate Actions and Share Basis. https://dps.psx.com.pk/historical

State Bank of Pakistan. (2025, June 16). Monetary policy statement. https://www.sbp.org.pk/press/2025/Pr-16-Jun-2025.pdf

All Pakistan Cement Manufacturers Association. (2023, July). Cement despatches declined by 22.80% during Jun-23, drops to 15.71% YOY [Press release]. https://www.apcma.com/new-updates/2023/CementPR-June2023.pdf

Project calculation and evidence records

The accompanying cleaned workbook is the submitted calculation model. The unchanged internal Audit workbook contains 27 Scope, 27 Calculations, 27 Industry, 27 Published, EV Inputs, Opening Balances, PSX/price/share records and Reconciliation Guide. Older comprehensive and viva explanations support the review, but their figures or conventions do not supersede the current final formulas. This report is a financial explanation of those formulas and the cited official evidence.